1C.1 CATEGORY F

SECOND SCHEDULE

(Sections 18, 20, 20A, 20B and 20C)

THRESHOLDS FOR MINISTRIES, DEPARTMENTS AND AGENCIES – APPROVING AUTHORITY

Approving Authority	Category A and B			Category C			Category D[7]			Category E[8]		
	Goods	Works	Services	Goods	Works	Services	Goods	Works	Services	Goods	Works	Services
Central Tender Review Committee	Above 1,000,000	Above 15,000,000	Above 1,000,000	Above 800,000	Above 1,500,000	Above 800,000	Above 400,000	Above 800,000	Above 400,000	Above 200,000	Above 400,000	Above 200,000
Entity Tender Committee	Above 100,000 to 1,000,000	Above 500,000 to 15,000,000	Above 100,000 to 1,000,000	Above 100,000 to 800,000	Above 150,000 to 1,500,000	Above 100,000 to 800,000	Above 45,000 to 400,000	Above 70,000 to 800,000	Above 45,000 to 400,000	Above 30,000 to 200,000	Above 45,000 to 400,000	Above 30,000 to 200,000
Entity Head	Up to 100,000	Up to 500,000	Up to 100,000	Up to 100,000	Up to 150,000	Up to 100,000	Up to 45,000	Up to 75,000	Up to 45,000	Up to 30,000	Up to 45,000	Up to 30,000

[7] As regards the regional offices of a subvented agency, procurement above the regional entity tender committee threshold shall be handled by their head office entity tender committee

THIRD SCHEDULE

(Sections 18, 20, 20B, 20C and 44)

THRESHOLDS FOR REGIONAL COORDINATING COUNCILS AND METROPOLITAN, MUNICIPAL AND DISTRICT ASSEMBLIES APPROVING AUTHORITIES

Approving Authority	Category F1 **Regional Coordinating Council**			Category F2 **Metropolitan Assemblies**			Category F3 **Municipal & District Assemblies**		
	Goods	Works	Services	Goods	Works	Services	Goods	Works	Services
Regional Tender Review Committee[9]	Above 750,000	Above 1,000,000	Above 750,000	Above 550,000	Above 750,000	Above 550,000	Above 400,000	Above 550,000	Above 400,000
Entity Tender Committee	Above 100,000 to 750,000	Above 150,000 to 1,000,000	Above 100,000 to 750,000	Above 75,000 to 550,000	Above 125,000 to 750,000	Above 75,000 to 550,000	Above 50,000 to 400,000	Above 90,000 to 550,000	Above 50,000 to 400,000
Entity Head	Up to 100,000	Up to 150,000	Up to 100,000	Up to 75,000.00	Up to 125,000	Up to 75,000	Up to 50,000.00	Up to 90,000	Up to 50,000

[9] Sub-Committee of the Regional Co-ordinating Council

FOURTH SCHEDULE

(Section 20F)

COMPOSITION OF TENDER REVIEW COMMITTEES

Item	Central Tender Review Committee	Regional Tender Review Committee
Chairperson	An eminent person nominated by the Minister responsible for Finance	An eminent person nominated by the Regional Minister
Members	2 public sector persons conversant with procurement principles and procedures nominated by the Board	Regional Coordinating Director
	3 professionals nominated by the Institute of Engineers, Institute of Chartered Accountants and the Institute of Surveyors	Head of the Attorney-General's Department in the region
	A representative of the Attorney-General's Department not below the rank of Chief State Attorney, nominated by the Attorney-General and Minister for Justice	4 private sector persons with experience in procurement nominated by the Ghana Institute of Engineers, Ghana Institute of Surveyors, Chartered Institute of Purchasing and Supply and Institute of Chartered Accountants, Ghana respectively
	A representative of the National Development Planning Commission, not below the rank of Director, nominated by the Commission	
	A representative of the Ministry of Finance, not below the rank of Director	
Total Membership	9	7
Secretary	A representative of the Ministry of Finance not below the rank of Technical Director, nominated by the Minister	Regional Economic Development Planning Officer
Quorum	Chairperson and 4 others	Chairperson and 3 others

FIFTH SCHEDULE

(Sections 20, 20A, 20C, 34A, 42, 44, 66 and 72)

THRESHOLDS FOR PROCUREMENT METHODS

Procurement method	Contract value threshold
1. International Competitive Tender	
a. Goods	Above GH¢10,000,000.00
b. Works	Above GH¢15,000,000.00
c. Technical Services	Above GH¢5,000,000.00
2. National Competitive Tender	
a. Goods	More than GH¢100,000.00 up to GH¢10,000,000.00
b. Works	More than GH¢200,000.00 up to GH¢15,000,000.00
c. Technical Services	More than GH¢50,000.00 up to GH¢5,000,000.00
3. Price Quotation	
a. Goods	Up to GH¢100,000.00
b. Works	Up to GH¢200,000.00
c. Technical Services	Up to GH¢50,000.00
Restricted tender	Subject to approval by the Board
Single source procurement and selection	Subject to approval by the Board
CONSULTANCY SERVICES – NO THRESHOLD LIMITS	
1. Quality Based Selection	Refer to Public Procurement Authority Manual for procedure
2. Quality and Cost Based Selection	Refer to Public Procurement Authority Manual for procedure
3. Consultant's Qualification	Refer to Public Procurement Authority Manual for procedure
4. Fixed Budget Selection	Refer to Public Procurement Authority Manual for procedure
5. Least Cost Selection	Refer to Public Procurement Authority Manual for procedure
6. Individual Consultant	Refer to Public Procurement Authority Manual for procedure
7. Single Source	Subject to Public Procurement Authority Approval

*Mandatory use of Expression of Interest for all except single source *Entities may advertise internationally where the required skills may not be available locally.	

MANDATORY PREQUALIFICATION	CONTRACT VALUE THRESHOLD
Goods	Above GH¢ 10,000,000.00
Works	Above GH¢15,000,000.00
Technical Services	Above GH¢ 5,000,000.00

SIXTH SCHEDULE
(Sections 50 and 68)

Standard Tender Documents and Standard Requests for Proposals

1. Standard tender document for procurement of works
2. Standard tender document for procurement of works, smaller contracts
3. Standard tender document for roads - major
4. Standard tender document for roads - minor
5. Standard tender document for procurement of goods
6. Standard tender document for procurement of health goods
7. Standard tender document for procurement of text books
8. Standard tender document for procurement of information technology systems
9. Standard request for proposals for selection of consultants
10. Standard document for prequalification of suppliers, consultants and contractors
11. Standard document for request for expression of interest
12. Sample format request for quotations
13. Disposal of stores, vehicles and equipment
14. Board of survey form/disposal certificate/destruction certificate
15. Standard tender evaluation format and reporting format for goods, works and selection of consultants
16. Standard and sample contracts for consultants services
    Complex time based assignments
    Lump-sum remuneration
    Small assignments time based payments
    Lump-sum payments.".

Date of *Gazette* notification: 12th May, 2016.

GPCL, ASSEMBLY PRESS, ACCRA. GPCL/A336/1,300/05/2016
Website: www.ghpublishingcompany.com E-mail: info@ghpublishingcompany.com

c. Individuals who perform the same or substantially all the same duties for the agency that would otherwise be performed by an individual holding a position specified in the agency's Conflict of Interest Code under GC § 87302.

2. IS THERE A PROHIBITED FINANCIAL INTEREST PRESENT? State employees and certain consultants may be prohibited from participating in decisions or participating in "making contracts" if they have a financial interest. See GC §1090 et seq. and GC § 87400 et seq. Contracts made in violation of GC § 1090 are void (GC § 1092).

3. IS THERE A FOLLOW-ON CONTRACT INVOLVED? Consultants are prohibited from bidding on, or being awarded a contract that is required, suggested, or otherwise deemed appropriate in the end product of a previous consulting contract with them. See PCC § 10365.5 to determine applicability.

B. RESOURCES

1. Fair Political Practices Commission: see Fair Political Practices Commission Homepage

2. Examine your department's Conflict of Interest Code to determine the reporting requirements for covered consultants.

3. Ethics Training: On line training (DOJ), see: www.caag.state.ca.us/consultants/index.htm and www.caag.state.ca.us/ethics/index.htm.

4. Your departmental legal office.

C. AGENCY RESPONSIBILITY

1. Agencies/departments must indicate on the Std. 215 that they have evaluated the proposed contract for any potential conflict of interest issues.

2. It will be presumed that an affirmative ("Yes") indication means that the department has made a determination that there are no facts known or reasonably known that would disqualify the proposed contractor from legally performing the contract.

3. DGS reserves the right to conduct an independent review for conflicts of interest during the course of its standard contract review. However, this does not relieve agencies from performing their review per B.2., above.

7.11 INTELLECTUAL PROPERTY
(New 04/22)

State agency services contracts may include Intellectual Property (IP) components, as described below. By statute, DGS was designated as the agency responsible for creating and implementing the state's first IP program to help maximize the value of state-owned IP while at the same time promoting the public benefit. (GC § 13988.) When a contract implicates the state's IP interests, the contract should be drafted to include language that protects the state's interests. Additional information about DGS's IP program can be found on DGS/OLS's website.

A. **Intellectual Property**. "Intellectual property" (IP) means intangible assets that are subject to statutory protection under applicable patent, copyright, and trademark law. Intellectual property includes, but is not limited to, inventions, industrial designs, identifying marks and symbols, electronic publications, trade secrets, and literary, musical, artistic, photographic, and film works. (GC § 13988.1(d).)

B. **DGS Intellectual Property Program.** DGS's IP program includes:

1. **Intellectual Property Database.** Developing a database of IP resources to track state-owned IP. The law requires state agencies to cooperate by, among other things, providing an agency list of IP resources to DGS by November 30, 2016, with updates to be provided annually thereafter on a form prescribed by DGS.

2. **Intellectual Property Management Plan.** DGS has created a sample management plan for state-owned IP that includes factors state agencies should consider when deciding whether to sell or license their IP and issues related to placing state-funded IP into the public domain. It is recommended state agencies adopt this plan to better protect IP assets.

3. **IP Outreach Campaign.** DGS is charged with developing an outreach campaign informing state agencies of their rights concerning IP created by their employees.

   a. DGS has formed an IP Advisory Group consisting of representatives of various state agencies to assist in the development of IP policies, procedures, and contractual forms, and to guide the direction of the state's IP efforts.

   b. DGS will also periodically reach out to state agencies and departments about IP rights, abilities, and resources though a variety of channels.

4. **Contractual Provisions Regarding IP.** DGS has developed recommended forms and contractual provisions regarding IP ownership and related issues. With respect to Contractor obligations, it is recommended that each agency or department require the Contractor to represent that it is the owner or authorized user of any third party IP used in a project, to warrant that it has

   the legal right to use third party IP connected with a project, and to grant the State of California a fully-paid license to use third party IP arising from or included in a project.

5. **DGS IP Web Portal**. Further information and resources are located at the DGS IP web portal at https://olsip.apps.dgs.ca.gov/.

7.12 GENERATIVE ARTIFICIAL INTELLIGENCE (GenAI) (Rev 02/25)

A. Executive Order N-12-23 establishes statewide policy for the State's use of Generative Artificial Intelligence (GenAI).

B. GenAI Definition:

"An artificial intelligence system that can generate derived synthetic content, including text, images, video, and audio that emulates the structure and characteristics of the system's training data." (See Govt. Code § 11549.64, SAM 4819.2 and any updates thereto.)

C. Required GenAI Solicitation Language: All written non-IT services solicitations must include the following GenAI notification clause:

"The State of California seeks to realize the potential benefits of GenAI, through the development and deployment of GenAI tools, while balancing the risks of these new technologies.

Bidder / Offeror must notify the State in writing if it: (1) intends to provide GenAI as a deliverable to the State; or (2), intends to utilize GenAI, including GenAI from third parties, to complete all or a portion of any deliverable that materially impacts: (i) functionality of a State system, (ii) risk to the State, or (iii) Contract performance. For avoidance of doubt, the term "materially impacts" shall have the meaning set forth in State Administrative Manual (SAM) § 4986.2 Definitions for GenAI.

Failure to report GenAI to the State may result in disqualification. The State reserves the right to seek any and all relief to which it may be entitled to as a result of such non-disclosure.

Upon notification by a Bidder / Offeror of GenAI as required, the State reserves the right to incorporate GenAI Special Provisions into the final contract or reject bids/offers that present an unacceptable level of risk to the State.

Government Code 11549.64 defines "Generative Artificial Intelligence (GenAI)" as an artificial intelligence system that can generate derived synthetic content, including text, images, video, and audio that emulates the structure and characteristics of the system's training data."

D. Before proceeding with a GenAI purchase, releasing a solicitation that includes the purchase of GenAI, or approving a contract that includes services generated by GenAI, departments must confirm with their department CIO that the purchase/contract may proceed. Confirmation must be kept in the contract file.

CIOs are required to conduct a risk assessment and potential consultation with the California Department of Technology (CDT) before proceeding with a purchase that includes GenAI. Consultation with CDT is dependent upon the risk assessment outcome or upon CDT's request for low-risk transactions (refer to CDT policy for details).

E. Departments are no longer required to include GenAI Contract language in their contracts, these provisions are now in the State's standard General Terms and Conditions (GTCs) available on the DGS/OLS website.

F. All transactions where GenAI is purchased must be identified and reported in FI$Cal State Contract and Procurement Registration System (SCPRS). See SCM volume 2 sections 2200.1 and 2300 for additional instructions.

G. Please see SCM volume 2 section 2300, the State of California GenAI Guidelines, and the GenAI Toolkit (https://www.genai.ca.gov/choose-your-journey/) for additional information and requirements, including when CDT consultation is required.

7.15 REPORTING OF CONTRACTING PRACTICES
(Rev 04/22)

A. PCC § 10111 requires DGS to provide a report on contracting activity. Accordingly, State agencies must report information about the following to DGS's Office of Small Business and Disabled Veteran Business Enterprise Services (OSDS) annually by August 1 (using DGS PD 810 forms):

1. Consulting services contracts (PCC § 10111(a));
2. Noncompetitively bid consulting services contracts (PCC § 10111(a)(4));
3. Consultant contracts (PCC § 10111(b));
4. Disabled Veteran Business Enterprise (DVBE) participation in contracts (PCC §§ 10111(d), 10111(e)(7));
5. Small business (SB) and microbusiness (MB) participation in contracts (PCC § 10111(e)); and
6. Contractor participation by race, ethnicity, gender, and sexual orientation to the extent these characteristics have been voluntarily reported (PCC § 10111(f)).

B. Annual reporting must include but is not limited to the SB/DVBE participation on all state contracts, purchase orders and Cal-Card purchases, to ensure that annual participation goals are met. This report is known as the Consolidated Annual Report (CAR) and is filed using either FI$Cal or the DGS PD 810 forms. When reporting these activities, state agencies must ensure the accuracy of this data by implementing and conducting a thorough review of the proposed report prior to submission to DGS. This review must also include a sampling of the state agency's highest dollar value contracts that included DVBE, MB, SB, Nonprofit Veteran Service Agencies, Small Business for the purpose of public works, and sub-contracting participation. This sampling must verify and reconcile:

- The amounts awarded.
- The certification status at time of contract award.

State agencies must save and make available upon request to DGS a written statement signed by the Procurement and Contracting Official confirming completion of the review of the CAR, which shall include:

- An itemized list of the sampled contracts.
- A brief explanation of the review sampling methodology applied.

C. For those departments that are transacting business in FI$Cal, reports can be compiled and transmitted through FI$Cal. For departments that are not transacting business in FI$Cal, Volume 2 of the State Contracting Manual and the Procurement Division's web page (https://www.dgs.ca.gov/PD/Services/Page-Content/Procurement-Division-Services-List-Folder/File-a-Consolidated-Annual-Report) contain information and instructions regarding forms to provide in connection with reporting requirements and where to send the reports, as well as the dates by which reports must be submitted.

D. In addition, State agencies are required to report information on the following:

1. Late payments to DGS/OSDS, on an annual basis, within 90 calendar days following the end of each fiscal year (GC § 927.9);

2. Contract award STD 16 (to CRD at CompliancePrograms@calcivilrights.ca.gov, within 10 days of contract award (GC § 12990(b); 2 CCR 11114); and

3. Independent Contractors (to the Employment Development Department, on Form DE 542, within 20 days of entering into a contract or contracts that in the aggregate equal or exceed $600 in any year (Unemployment Insurance Code § 1088.8(c)).

E. Post-evaluation of non-IT consulting contracts. (Also see SCM I, § 3.02.5.)

1. State agencies are required to prepare post evaluations on form STD 4 for all completed consulting services contracts of more than $5,000 or more (PCC §§ 10367, 10369).

2. Post-evaluation forms must be prepared within 60 days of completion of the contract (PCC § 10369(d)).

3. Copies of all post-evaluations must be kept on file by the awarding State agency for a period of 36 months (PCC § 10369(e)).

4. One copy of an unsatisfactory evaluation must be placed in the State

agency's contract file, and another copy must be sent to DGS/OLS (PCC § 10369(e)). A State agency's failure to send a negative (unsatisfactory) post-evaluation to DGS may be grounds for rejection of future contracts or modifications of that agency's exemptions (PCC § 10370).

5. An unsatisfactory evaluation must be sent to the contractor within 15 days. The contractor has the right, within 30 days of receipt of an unsatisfactory evaluation, to submit a written response that shall be filed both with the unsatisfactory evaluation in the State agency's contract file and DGS (PCC § 10369(f)).

7.16 REPORTING ANY PROPOSED EXTENSION/RENEWAL OF NO-BID CONTRACTS OF $75,000,000 OR MORE

(New 06/24)

Pursuant to PCC section 10295.8, for a contract awarded without competitive bidding for the acquisition of goods or services of $75,000,000 or more, entered on or after January 1, 2023, the awarding agency shall submit to the Joint Legislative Budget Committee information regarding the terms and conditions of any proposed extension or renewal of the contract on or before the contract end date.

7.20 PROMPT PAYMENT

(Rev 04/22)

A. Prompt Payment Act and late payment penalty. Under GC § 927 et seq., State agencies which acquire property or services pursuant to a contract with a business must pay that business for each complete delivered item of property or services within 45 days from the date set forth in the contract or, if no payment date is specified in the contract, submit a correct claim schedule to the State Controller's Office (SCO) within 30 calendar days after receipt of the undisputed invoice. The SCO must pay the business within 15 days of receipt of the invoice from the State agency. The clock starts to run when an invoice is received by the department, not when it is received by the accounting office. DGS/OLS will not approve any contracts with payment periods longer than 45 days.

   If payment is not made within the times specified above, an interest penalty fee at a rate of 1% above the Pooled Money Investment Account earning rate for the previous year must be paid. For non-small businesses, the penalty is waived if the penalty is $100.00 or less. (See GC § 927.6 and SAM § 8474).

B. Small business prompt payment. Additional provisions apply for certified small businesses (GC § 927.6(a) and SCM 1, chapter 8).

7.25 PAYEE DATA RECORD

(Rev 11/12)

A. Each contractor who enters into a contract with the State must provide a taxpayer identification number; i.e., the Federal Employer Identification Number or the Social Security Number that has been assigned to the contractor by the Federal government. The taxpayer identification number is entered on the Payee Data Record – STD 204, which is to be retained in the awarding agency's accounting or business services office. A Taxpayer ID number is not required for a reimbursement contract.

B. The law requires that any agency requesting the disclosure of a social security number must advise the provider as follows:

1. Whether disclosure is mandatory or voluntary

2. By what statutory authority the number is solicited

3. The intended use of the number

7.29 EQUIPMENT PURCHASES
(Rev 11/12)

A. When equipment is purchased or built with State funds as part of the contract the contract must clearly state that title to any equipment purchased or built with State funds will vest in the State. On termination of the contract, the State may:

1. Request such equipment be returned to the State, with costs incurred by the contractor for such return being reimbursed by the State.

2. Authorize the continued use of such equipment for work to be performed under a different agreement or contract.

B. The State may, at its option, repair any damage or replace any lost or stolen items and deduct the cost thereof from the contractor's invoice to the State, or require the contractor to repair or replace any damaged, lost, or stolen equipment to the satisfaction of the State with no expense to the State. In the event of theft, a report must be filed immediately with the CHP (SAM § 8643).

C. The contractor should maintain an inventory record for each piece of non-expendable equipment purchased or built with funds provided under the terms of a contract. The inventory record of each piece of such equipment should include the date acquired, total cost, serial number, model identification (on purchased equipment), and any other information or description necessary to identify said equipment. Non-expendable equipment so inventoried are those items of equipment that have a normal life expectancy of one year or more and an approximate unit price of $5,000 or more. In addition, theft-sensitive items of equipment costing less than $5,000 should be inventoried. A copy of the inventory record must be submitted to the State on request by the State (SAM § 8600).

D. Procedures for the handling and accounting of equipment through contracts are the same as that for handling through regular State purchasing.

7.30 CONTRACT BUDGETS

(Rev 6/23)

A. All contracts should have clear budget and payment provisions. This helps to:
   1. Ensure a meeting of the minds between contracting parties
   2. Avoid disputes
   3. Establish the applicable rate(s) and total(s) a contractor can invoice for
   4. Establish the timing and amounts for invoicing any progress payments
   5. Establish if a percentage will be withheld from each payment and when the withhold will be paid (see SCM section 7.33 and Pub. Contract Code §10346)
   6. Establish a clear correlation between what the state is receiving in exchange for amounts paid

B. Agencies should create budget and payment provisions that are appropriately tailored to the type of work or project. Factors to consider also include, for example, contract length, deliverables, complexity, overall cost, and any funding restrictions or requirements. Note: Advance payments cannot be made without statutory authority (see SCM section 7.32).

C. Lump sum vs. Unit rate approach -- Contracts must be clear as to whether payment(s) will be made as a lump sum or based on unit rates.

   1. Lump sum/fixed price approach
      a. This is when the state pays a specified amount for a fully-completed deliverable.
      b. A lump-sum payment approach should only be used if the agency can clearly and fully describe the entirety of the deliverable in the scope of work. I.e. what exactly will the state receive in exchange for the lump sum payment?

   2. Unit rate approach
      a. Examples of a unit rate approach include: per test, per pick-up, and as-needed per hour services
      b. If a competitively bid contract will involve more than one type of unit (e.g. different types of tests), agencies should use a cost bid sheet that includes estimated volumes of each unit type, to allow a realistic and apples-to-apples evaluation of competing bidders' unit pricing.

D. Consulting contracts (see SCM section 3.02). When preparing solicitations and contracts for consulting services, agencies must follow applicable Public Contract Code provisions, including but not limited to section 10371(c) which requires:

   1. "detailed criteria and a mandatory progress schedule for the performance of the contract" and

2. that each contractor “provide a detailed analysis of the costs of performing the contract.”

E. Agencies need to pre-plan their budget and payment provision approach prior to issuing solicitations to ensure the solicitation, bid cost sheet, bids/proposals, and resulting contract all align.

7.31 AVAILABILITY OF FUNDS
(Rev 3/03)

A. If the contract funding spans more than one fiscal year’s appropriation, the contractor must be advised in writing as follows:

This contract is valid and enforceable only if sufficient funds are made available by the Budget Act of the appropriate fiscal year for the purposes of this program. In addition, this contract is subject to any additional restriction, limitations or

conditions enacted by the Legislature, which may affect the provisions, terms, or funding of this contract in any manner.

B. Services should be paid for out of the funding for the fiscal year during which they are rendered.

7.32 ADVANCE PAYMENTS
(Rev 04/22)

Advance payments by the State are permitted only when specifically authorized by statute and should be made only when necessary. Contracts or agreements containing provisions for advance payments by the State should preferably provide for small periodic payments rather than the total contract price or lump-sum advances (GC §§ 11256 – 11263, 11019 and 12502).

7.33 PROGRESS PAYMENTS
(Rev 3/03)

A. A progress payment is a partial payment for a portion or segment of the work needed to complete a task.

B. Not less than 10% of the contract amount shall be withheld pending final completion of the contract. If a contract consists of the performance of separate and distinct tasks, then any funds withheld for a particular task may be paid upon completion of that task (PCC § 10346).

Note: Separate and distinct tasks do not usually occur when the contract is for a finished project report or plan. To determine whether a particular task is separate and distinct you must decide if later tasks build on it. For example, if the contract requires the writing of a manual the completion of each chapter is not a separate and distinct task. The 10% withhold should not be paid until the manual is completed satisfactorily.

C. No State agency shall make progress payments on a contract unless it first has established procedures approved by DGS/OLS, to ensure that the work or services contracted are being delivered in accordance with the contract (PCC § 10346).

D. Recommended policy for State agencies:

1. Discourage progress payments whenever possible.

2. Do not allow progress payments on contracts of less than three (3) months.

3. If progress payments are to be made, they should be made not more frequently than monthly in arrears or at clearly identifiable stages of progress, based upon written progress reports submitted with the contractor's invoices.

4. Progress payments should be based on at least equivalent services rendered. (Hours worked should not be the sole basis for progress payments.)

5. Progress payments shall not be made in advance of services rendered.

6. Contracts shall require a withhold of 10% of each progress payment either pending satisfactory completion of the contract or completion of a separate and distinct task.

   Note: If the contract is competitively bid this term should be noted in the bid

7. Establish a procedure to indicate the amount to be withheld on invoices.

8. Establish a procedure to obtain the amounts withheld.

7.34 CONTRACT PAYMENT BY STATE PURCHASE CARD, CAL-CARD
(Rev 6/17)

Cal-Card is a payment mechanism only. It shall not be used to circumvent service contracting rules.

If you intend to use Cal-Card as a payment mechanism, place this information in your solicitation document and contract.

CAL-Card Payment Provisions are required to follow this basic format:

"CAL-Card PAYMENT PROVISIONS":

Upon receipt of an itemized invoice, in arrears, stating the goods/services provided, time period covered, detailed costs and the contract number, the

Contract Manager will notify the Contractor of payment authorization. The Contractor will provide the Contract Manager a copy of the itemized, transaction receipt showing payment was received, the invoice, the contract number and the CAL-Card card verification number charged.

Contractor to send invoices to:

Name, mailing address and phone number of the Contract Manager/Cardholder.

Name, mailing address and phone number of Contractor payment authorization contact.

Additional information regarding the CAL-Card Program is located on the DGS/PD website.

Questions regarding the CAL-Card Program may be directed to the Statewide CAL-Card Contract Administrator, Department of General Services, Procurement Division, 707 Third Street, 2nd Floor, West Sacramento, CA 95605, http://www.dgs.ca.gov/pd/Programs/CALCard.aspx.

7.40 INSURANCE REQUIREMENTS
(Rev 11/12)

A. For most types of services contracts, departments retain responsibility for assessing the need for and the amount of insurance, obtaining proof of insurance, and including appropriate solicitation and contract language as applicable.

B. Contracts for hazardous activities are required to have insurance (See SCM 1, section 3.12). Insurance for hazardous activities shall meet the following requirements:

1. The insurance must be issued by an insurance company acceptable to DGS/ORIM or be provided through partial or total self-insurance acceptable to DGS/ORIM.

2. The contractor must furnish to the State a certificate of insurance showing that a limit of liability of not less than $1,000,000 per occurrence for bodily injury and property damage liability combined, is presently in effect for the contractor.

   Note: $1,000,000 per occurrence is the minimum acceptable limit of insurance; higher limits should be required in cases of higher-than-usual.

3. At a minimum, the certificate of insurance shall show that the contractor is protected through commercial general liability insurance. Additional insurance may be required. Please refer to the following list of examples:

- Automobile Liability – if motor vehicles are used in the performance of the work.
- Aircraft Liability – if an aircraft is used in the performance of the work.
- Crime Coverage – if work involves handling of State money or securities.
- Pollution Liability – if work involves the handling of hazardous waste or the application of chemicals.
- Professional Liability – if work is of a professional nature such as physicians, architects, engineers, accountants, or consultants.
- Watercraft Liability – if watercraft is used in the performance of the work.
- Workers' Compensation – a statutory requirement for contractors with employees.

4. Contractor is responsible to notify the State within 5 business days of any cancellation, non-renewal or material change that affects required insurance coverage.

5. The policy(ies) must provide additional insurance language as follows:

   The State of California, its officers, agents and employees are included as additional insured, but only with respect to work performed for the State of California under the contract. The additional insured endorsement must accompany the certificate of insurance.

6. The certificate of insurance shall meet such additional standards as may be determined by the contracting State agency, either independently or in consultation with DGS/ORIM, as necessary for protection of the State.

   Note: DGS/ORIM is available to provide additional consultation on all insurance and liability matters.

7.45 CONTRACTS WITH NO DOLLAR AMOUNT

In agreements in which only in-kind services are used and in which the performance is other than monetary, the consideration must be valued on a monetary basis for the purpose of determining whether DGS/OLS approval is required.

7.50 AUDITS

(Rev 04/22)

A. **Audit Requirement:** All contracts for expenditure of public funds in excess of $10,000 must contain a clause stating that the contract is subject to audit by the State Auditor (GC § 8546.7). Also, federally funded contracts are often subject to audit in accordance with Federal regulations. In addition, the awarding agency has the general responsibility for determining compliance with the terms and conditions of its contracts and may have need of contractual audit authority.

B. **Records Keeping and Retention:** To facilitate being able to conduct an audit, if needed, the contractor must agree to maintain the records involved with the performance of the contract and to make those records reasonably available for audit. The minimum period of time for retention of contract records is three years after final payment of the contract (GC § 8546.7). In the event of a contract performance or payment dispute, this minimum is extended until the dispute is resolved. The awarding agency should not impose a longer records retention requirement or more detailed record keeping requirements unless there is a specific need to do so. If there is a need for longer retention or more detailed records, a clause covering these subjects should be tailored for the contract in a fashion that does not conflict with the clauses below. The Attorney General recommends a record retention of seven (7) years.

C. **Contract Audit and General Records Keeping Clause:** The following clause meets the above requirements and must be included in all contracts of $10,000 or more regardless of the form of contract used. This clause should be sufficient to meet most State and Federal needs. If your agency has a need for a different standard audit clause, the clause should be submitted to DGS/OLS for review with an explanation as to the necessity of the differences.

"Contractor agrees that the awarding department, the Department of General Services, the Bureau of State Audits, or their designated representative shall have the right to review and to copy any records and supporting documentation pertaining to the performance of this Agreement. Contractor agrees to maintain such records for possible audit for a minimum of three (3) years after final payment, unless a longer period of records retention is stipulated. Contractor agrees to allow the auditor(s) access to such records during normal business hours and to allow interviews of any employees who might reasonably have information related to such records. Further, Contractor agrees to include a similar right of the State to audit records and interview staff in any subcontract related to performance of this Agreement (GC § 8546.7, PCC § 10115 et seq., CCR Title 2, §1896). Contractor shall comply with the above and be aware of the penalties for violations of fraud and for obstruction of investigation as set forth in PCC § 10115.10."

D. All contracts containing DVBE participation goals as discussed in SCM 1, chapter 8 must contain an audit clause (CCR § 1896.77.) The minimum period of time for retention of DVBE records provided by a contractor pursuant to Military and Veterans Code section 999.5 is six years after collection. (Mil. & Vets. Code § 999.55.) Contracts involving DVBE participation should include a provision with this retention requirement.

7.55 DRUG-FREE WORKPLACE ACT OF 1990

(Rev 6/17)

The Drug-Free Workplace Act of 1990 (GC § 8350, et seq.) requires State contractors and grantees to certify that they will provide a drug-free workplace.

The certification language is set forth in State standard form STD 21.

Alternatively, the required certification appears in the State's standardized Contractor Certification Clauses (CCCs) which are incorporated by reference in the State's standard General Terms and Conditions (GTCs).

7.60 EQUIPMENT RENTAL AGREEMENTS

A. Unless it has specific statutory authority, a State agency cannot agree to:

1. Indemnify a contractor;

2. Assume responsibility for matters beyond its control;

3. Agree to make payments in advance;

4. Accept any other provision creating a contingent liability against the State; or

5. Agree to obtain insurance to protect the contractor.

B. The contract must clearly provide that the State does not have responsibility for loss or damage to the rented equipment arising from causes beyond the control of the State. Any provision obligating the State to return the equipment in good condition, subject to reasonable wear and tear, also must except or exclude loss or damage arising from causes beyond the control of the State. The contract must clearly restrict the State's responsibility for repairs and liability for damage or loss to that made necessary by or resulting from the negligent act or omission of the State or its officers, employees, or agents.

C. If the State does not elect to maintain the equipment, the contract will place the obligation on the contractor, as lessor, to keep the equipment in good working order and to make all necessary repairs and adjustments without qualification, with a clear right in the State to terminate or cease paying rent should the contractor fail to maintain the equipment properly. For this purpose, the contractor's representatives shall be given full and adequate access to the equipment at reasonable times.

D. Personal property taxes are not generally reimbursed when leasing equipment (See SAM § 8736).

E. For the purpose of determining whether contracts containing renewal options are subject to the approval of DGS, the total cost and term of the rental shall be

computed by including the cost and term of all renewal options included in the contract.

7.61 PURCHASE OPTIONS
(Rev 10/98)

A. To avoid paying hidden interest and carrying charges, the State agency should consider purchasing the equipment outright rather than entering into an “installment purchase” or “rental agreement with option to purchase.” Funding problems should be discussed with DOF budget staff.

B. Approval by DGS of the rental agreement does not include approval for the exercise of the option to purchase. Any exercise of the option and purchase of the equipment must be processed through DGS, Procurement Division, in accordance with the procedures set forth in SAM § 3500, et seq.

C. Agencies shall not circumvent State purchasing policies through use of contracts

containing options to purchase.

D. Whether an equipment rental transaction, which includes an option to purchase, should be processed in accordance with the SCM 1 or should be processed in accordance with the “Purchases” chapter of SAM § 3500 et seq., is dependent upon the acquisition of title to the equipment.

1. If the contract provides for automatic transfer of title to the State upon completion of the so-called “rental” payments, or upon payment of a nominal consideration after completion of such “rental” payment, the transaction would be more in the nature of a “conditional sale” or “installment purchase” rather than a “rental of equipment” and should be processed in accordance with SAM § 3500 et seq.

2. If the rental payments will be the same whether or not the lessor’s offered option to purchase is included in the rental agreement, and the State agency includes the option as an unobjectionable and possibly desirable feature, the contract may be processed in accordance with the SCM.

7.62 LEASE/PURCHASE ANALYSIS FOR EQUIPMENT

A. A lease/purchase analysis shall be prepared (See SAM § 3700) for each contract to lease equipment where the contract exceeds $1,000 or the duration of the lease exceeds three (3) months. This requirement does not apply to contracts for equipment rented in accordance with PCC § 10108, from other State agencies, or equipment obtained under a Master Rental Agreement.

B. A Lease/Purchase Analysis is required as follows:

1. Dollar amount exceeds $1,000 or the duration of the lease exceeds three (3) months. A copy of the analysis and the contract or amendment shall be retained by the agency.

2. Submit a copy of the analysis with the contract or amendment to DGS/OLS for approval when approval is required based on the agency's delegated approval amount.

C. If the lease/purchase analysis indicates that it is more economical to purchase, it will be necessary to include a justification explaining how it is in the State's best interest that the equipment be leased. A lease/purchase analysis based on a "zero" salvage value of the equipment will normally be acceptable only when mechanical useful life and program useful life are the same. When bids are obtained, prices for both leasing and purchasing will be secured to facilitate the making of the analysis.

D. The director of the requesting department should give prior concurrence to proposals in which the lease/purchase analysis indicates purchase but the requesting unit proposes to lease.

7.65 NONDISCRIMINATION PROGRAM

(Rev 06/24)

A. All employers who are, or wish to become, contractors with the State must develop and implement a nondiscrimination program as defined in Title 2, CCR § 11103; unless specifically exempted pursuant to Title 2, CCR § 11111, which includes contracts under $5,000 and contracts with licensed Community Based Rehabilitation Program (CRP) (See GC §§ 12935(a) and 12990(d); and Title 2, CCR § 11102).

B. A contractor shall include the nondiscrimination clause in its contracts and with all subcontracts to perform work under the contract, either directly or by incorporation by reference. Any such incorporation by reference shall be specific and prominent (See Title 2, CCR § 11102; and GC §§ 12935(a) and 12990(d)). Applicable contract language appears in the State's standard General Terms and Conditions (GTCs).

C. Any bid, proposal, or offer for a contract which is submitted by a contractor who has been decertified from contracting with the State by CRD, shall be deemed to be nonresponsive and shall be rejected. Refer to the California Regulatory Notice Register published by the Office of Administrative Law for a list of decertified contractors. (Tit. 2 CCR § 11110.)

D. Any person who submits a bid or proposal or otherwise proposes to enter into or renew a contract with the State valued at $100,000 or more must certify their compliance with the Unruh Civil Rights Act (CC § 51 et seq.) and the California Fair Employment and Housing Act ("FEHA") (commencing with Government Code section 12920), as required by PCC section 2010. If a contractor has an internal policy against a sovereign nation or peoples recognized by the United States government, the Contractor shall certify that such policies are not used in violation of the Unruh Civil Rights Act or FEHA.

1. These certifications must be made at the time a bid or proposal is submitted, or a contract renewal is executed.

2. These certifications are required regardless of the award method or solicitation format used, including but not limited to: RFPs, IFBs, NCBs and other non-competitive awards, and the SB/DVBE option.

3. These certifications are required when using a DGS LPA, unless the User Instructions for a particular LPA indicate otherwise.

4. For purposes of these required certifications, “renewal” shall mean the exercise of any option to extend an existing contract or an amendment to add time to an existing contract.

7.70 RECYCLED PRODUCT CONTENT
(Rev 11/12)

A. Effective September 1, 1999, per administrative policy, the following service contracts must contain language requiring the use of post-consumer recycled content products:

1. Janitorial contracts must contain terms requiring the use of janitorial supplies containing post-consumer recycled paper products only;

2. Printing contracts must contain terms requiring post-consumer recycled paper only, unless the proposed printing job cannot be done on recycled paper;

Contracts included in the above categories, subject to DGS/OLS approval, must contain the required terms or they will not be approved.

B. Contractors must certify in writing under penalty of perjury the minimum percentage, or the exact percentage, of post-consumer material in the product, materials, goods, or supplies provided under the agreement (PCC § 12205(a)-(b)) regardless of whether the product meets the requirements of PCC section 12209. Applicable certification language appears in the State’s General Terms and Conditions (GTCs).

7.80 MULTIPLE YEAR CONTRACTS
(Rev 6/17)

A. Contracts for services should generally not exceed three (3) years, absent a substantial written justification for a longer term, based on business reasons. The written justification should be stated on the STD 215 #25 (or on an attachment thereto).

B. Approval by DGS/OLS must be obtained prior to releasing any RFP or IFB for a contract term beyond three (3) years. A justifiable business reason must support such a request for approval. Prior approval for multiple year contracts is not required for contracts not subject to DGS/OLS review. Prior approval is not required on a 5-year term for elevator maintenance contracts (see SCM volume 1, section 3.26).

Agencies who wish to get prior approval from DGS/OLS should contact the attorney assigned to their department on how to proceed. Failure to obtain prior approval from DGS/OLS may be cause for non-approval of the contract.

Approval of a multiyear term request does not constitute DGS/OLS approval of the actual contract or amendment document, it is merely approval to use a multiyear term.

C. If the additional option years are considered in the method for selecting the contractor, an agency will not need to get an NCB exemption when amending the contract to exercise the option years so long as all terms, conditions, and costs are those evaluated in the bidding procedure. Contracts with option years are multiyear contracts, therefore advance approval is required for the multiyear term length (e.g. 3+1 = 4-year term, so preapproval is required for the 3+1) prior to going out to bid.

D. For services such as fiscal audit or quality audit, it is desirable to obtain a different contractor after three (3) years.

7.85 CONTRACT TERMINATION CLAUSES

(Rev 11/12)

A. Agencies should carefully consider the types of termination clauses to be used in each contract.

1. TERMINATION FOR CAUSE. The standard language in the GTCs available on the DGS/OLS webpage is satisfactory for a termination for cause. Agencies should not change or modify this language due to the possibility of accidentally changing a legal requirement. If agencies wish to supplement for cause termination language by adding their own provisions, they should consult their own counsel and their DGS/OLS attorney in advance.

2. TERMINATION WITHOUT CAUSE. It is recommended that contracts contain a termination clause to allow the State to terminate the contract, without cause, with advance written notice provided to the contractor.

7.86 INDEMNIFICATION

(New 11/12)

A. State agencies cannot indemnify another party unless there is express statutory authority to do so and only to the extent necessary to obtain the services. Any such code authority must be identified in the contract file along with a written justification of the legal and business analysis supporting use of the provision under the circumstances. Agencies are advised to obtain preapproval of such clauses from DGS/OLS, rather than risk nonapproval of contracts.

7.90 BREACH OF CONFIDENTIALITY BY CONTRACTOR
(New 3/03)

Per PCC § 10426, State agencies shall specifically identify in a consulting contract, or in an IT contract, any information that is considered to be proprietary. During performance of the agreement, the contracting State agency shall provide written notification of information identified as proprietary subsequent to execution of the contract.

Intentional disclosure of information designated by the State as proprietary during negotiation, execution or performance of a consulting services contract, is unlawful and punishable as a misdemeanor.

8. BUSINESS PARTICIPATION PROGRAM REQUIREMENTS

8.00 INTRODUCTION
(Rev 04/22)

This chapter discusses programs established to encourage participation in State contracting by various segments of the business community. One or more of these programs may be involved in a specific contracting opportunity. Agency staff involved with contract preparation should be familiar with these programs such that they can explain the program and contracting agency discretion decisions to bidders. Questions about these programs should be addressed to:

The Department of General Services, Procurement Division (See Table 8.1) Internet Address: www.dgs.ca.gov/pd

Offices listed in Table 8.1 can be contacted through the Procurement Division web site.

8.01 TABLE OF CONTENTS
(Rev 1/14)

Small Business Preference Program	8.21
Non-Small Business Preference Program	8.22
Prompt Payment of Small Businesses	8.23
Target Area Contract Preference Act (TACPA)	8.30

8.02 PROCUREMENT DIVISION RESPONSIBILITY AND LEGAL REFERENCES
(Rev 04/22)

Table 8.1

Small Business and DVBE Participation Program		
Function or Service	**Office/Unit**	**Authority**
Act as a resource. Disseminate policies and procedures.	Office of Small Business & DVBE Services (DGS/OSDS) (916) 375-4940 Email: OSDShelp@dgs.ca.gov	Mil. & Vet. Code §§ 999.5, 999.6; Govt. Code § 14839
Coordinate Reporting	DGS/OSDS (see above)	PCC 10111
Address Compliance Violations	DGS/OSDS (see above)	Mil. & Vet Code §§ 999.2(g), 999.9; PCC § 10115.10(c); Govt. Code § 14842 et seq.
Certification	DGS/OSDS (see above)	Mil. & Vet. Code § 999 et. seq.; PCC § 10115.9; Govt. Code § 14839.1
Review, approve, audit DVBE Utilization Plans	DGS/OSDS (see above)	PCC § 10115.15
Administer DVBE Program participation goal and incentive	DGS/OSDS (see above)	Mil. & Vet. §§ 999, 999.5

Administer the 5 % Small Business Preference, Small Business issues and questions	DGS/OSDS (see above)	GC § 14835 et seq.;
Outreach Program Small Business Advocate Program	DGS/OSDS Email: BusinessOutreach@dgs.ca.gov	GC §§ 14845 et seq.
Ensure Prompt Payment to Small Businesses	Purchasing Authority Management Section (916) 375-4351 DGS/OSDS BusinessOutreach@dgs.ca.gov	GC § 927 et seq.
Target Area Contract Preference Act (TACPA)		
Administer the program and serve as a	Dispute Resolution & Preference Program Section (916) 375-4609	GC § 4530 et seq.; 2 CCR §§ 1896.30 et seq.

8.10 INTRODUCTION TO DISABLED VETERAN BUSINESS ENTERPRISE (DVBE) PARTICIPATION PROGRAM
(Rev 04/22)

The California Disabled Veteran Business Enterprise Program requires that agencies take all practical actions necessary to meet or exceed a Disabled Veteran Business Enterprise (DVBE) participation goal of 3% of the agency's overall contract dollars. (See Mil & Vet Code § 999, et seq.; PCC § 10115; Tit. 2 CCR § 1896.60, et seq.)

An agency has the discretion to apply this goal to a specific contract, but is expected to meet the goal for the total of its contracting each year. State agencies must report annually the level of participation achieved. Should full participation not be attained, agencies must develop an improvement plan to identify the problem and achieve the goal in the future.

8.11 DVBE REGULATIONS
(Rev 6/17)

The law requires each agency to adopt regulations to implement the program. However, to avoid duplication of effort, agencies have the option to adopt the regulations developed by DGS. (See Tit. 2 CCR § 1896.60, et seq.) The summarized policies and procedures presented in this chapter are based on those regulations. If agency personnel have questions or issues to be resolved, they should refer to their agency's regulations or to the DGS regulations as applicable.

8.12 WHEN TO APPLY THE DVBE GOAL TO A CONTRACT (Rev 04/22)

A. Agencies should develop a plan or strategy to ensure goal achievement for their overall departmental contract program.

B. Unless statutorily exempt, all contracts, regardless of amount, are subject to the DVBE requirement. Agencies may exempt individual contracts from the requirement with the approval of a highest ranking executive officer or their designee; however agencies are still expected to meet the overall DVBE goal attainment at the end of each year. When an awarding agency decides to waive the DVBE requirement, this must be noted in the solicitation.

C. Awarding agencies have sole discretion to exempt contracts from the DVBE participation requirements. In reviewing contracts, DGS services will rely on the awarding agency's decision to exempt contracts.

D. Contracts with government agencies, including public colleges and universities, and joint power authorities, are exempt from the DVBE participation requirements.

E. Additional information regarding DVBE participation requirements can be found in SCM volume 2.

8.13 BIDDERS' RESPONSE TO DVBE REQUIREMENTS IN A SOLICITATION (Rev 6/17)

A. When the DVBE participation requirements have been included in the solicitation, bidders must commit to meeting or exceeding the minimum DVBE participation goal.

B. Meeting the minimum participation goal

   There are two (2) methods of meeting the goal. If a bidder is a:

   1. Non-DVBE: Commit to use DVBEs for the amount stated in the bid document; or

   2. DVBE: Commit to perform not less than the amount stated in the bid document with its own forces or in combination with other DVBEs.

8.14 QUALIFYING AS A DVBE
(Rev 04/22)

A. Disabled Veteran Business Enterprise

1. **Disabled Veteran:** A veteran of the U.S. military, naval, or air service, with a service-connected disability of 10% or more, and is a resident of California.

2. **Disabled Veteran Business Enterprise:** A business concern certified by DGS/OSDS as meeting all of the following requirements:

    a. It is a sole proprietorship at least 51% owned by one or more disabled veterans or, in the case of a publicly owned business, at least 51% of its stock is unconditionally owned by one or more disabled veterans; a subsidiary which is wholly owned by a parent corporation, but only if at least 51% of the voting stock of the parent corporation is unconditionally owned by one or more disabled veterans; or a joint venture in which at least 51% of the joint venture's management and control and earnings are held by one or more disabled veterans. (Mil. & Vet. Code § 999(b)(7)(A)(i).)

    b. The management and control of the daily business operations are by one or more disabled veterans. The disabled veterans who exercise management and control are not required to be the same disabled veterans as the owners of the business concern.

    c. It is a sole proprietorship, corporation, or partnership with its home office located in the United States, which is not a branch or subsidiary of a foreign corporation, foreign firm, or other foreign-based business.

    d. It is a contractor, subcontractor or supplier that performs a "Commercially Useful Function" in providing services or goods that contribute to the fulfillment of the contract requirements.

        i) "Commercially Useful Function" is defined as a person or entity doing all of the following: 1) Is responsible for the execution of a distinct element of the work of the contract (including the supplying of services and goods); 2) Carries out its obligation by actually performing, managing or supervising the work involved; 3) Performs work that is normal for its business services and functions; 4) Is responsible, with respect to products, inventories, materials, and supplies required for the contract, for negotiating price, determining quality and quantity, ordering, installing, if applicable, and making payment; and 5) Is not further subcontracting a portion of the work that is greater than that expected to be subcontracted by normal industry practices. (Tit. 2 CCR § 1896.71(b).)

ii) It is not a “Commercially Useful Function” if the DVBEs role is limited to that of an extra participant in a transaction, contract or project through which funds are passed in order to obtain the appearance of DVBE participation. (Mil. & Vet. Code § 999(b)(5)(B); Tit. 2 CCR § 1896.71(c).)

Note: The State Treasurer’s Office certifies DVBEs for contracts for professional bond services.

B. Control

As applied to “ownership (or management) and control” of DVBE means the DVBE owner(s) and or DVBE manager(s) must demonstrate expertise specifically in the firm’s field of operation in controlling the overall destiny and the day-to-day operations of the firm. Office management, clerical, or other experience unrelated to the firm’s field of operations is not sufficient to establish control. The control is comprised of two parts: Managerial and Operational. (For more detail see 2 CCR § 1896.81(c-i).)

C. Certification

DVBEs must be certified by DGS/OSDS. DVBE status can be verified by accessing the DGS/OSDS web page

https://caleprocure.ca.gov/pages/PublicSearch/supplier-search.aspx).

Note: By regulation, DVBEs have until 5:00 p.m. (PST) on the bid due date to submit a complete paper certification application. Online applications may be submitted up until 11:59 pm (PST) on the bid due date. If certified they have eligibility. However, the firm may not have a copy of their DGS/OSDS certification approval and should state that their certification is pending. Verification can then be made by the agency with DGS/OSDS.

8.15 DVBE BID INFORMATION
(Rev 04/22)

A. Once the decision has been made to include the DVBE participation requirements in the contract, detailed DVBE specifications must be included in the IFB/RFP. Most agencies have developed standard DVBE specifications. Specifications should include a provision requiring the bidder to comply with rules, regulations, ordinances, and statutes that apply to the DVBE program as defined in Military & Veterans Code sections 999 and 999.5(d). If an agency does not have such specifications or if there is any question about the sufficiency of the specifications used by the agency, the agency should consult with DGS PD.

B. In evaluating program compliance by the bidder, the awarding agency must review the activities to be performed by any DVBEs proposed to participate in the contract to assure that the DVBE performs a “Commercially Useful Function” as defined in SCM 1, section 8.14 A. 2. (d)(e). For equipment rental bids, special rules apply to DVBEs which rent equipment or DVBEs which are found to be “equipment brokers” within the meaning of Mil. & Vet. Code § 999.2(b)(3).

C. Based on the evaluation, the awarding agency will determine whether the bidder has complied with the DVBE participation program requirements. If a bidder fails to meet the participation program requirements, the bidder must be deemed non-responsive and is not eligible for the contract award.

Note: A common mistake bidders make is to state that no subcontractors are needed and that goals are not applicable, offering that all the work can be done by the bidder with its own resources. Bidders should be warned that this type of response will render their bid non–responsive if the solicitation has a DVBE requirement.

8.16 MANAGEMENT OF DVBE CONTRACT REQUIREMENTS (Rev 04/22)

A. Compliance

1. The awarding agency shall establish a method of monitoring adherence to the goals. Examples of monitoring methods include:

    a. Random verification of contacts made to solicit certified DVBE’s.

    b. Review of job related bid evaluation criteria and how it was applied to subcontractor/supplier bids.

    c. Contacting DVBEs listed for participation upon award of contract and during performance to ensure their participation.

    d. Evaluate Commercially Useful Function performance of DVBE(s) participating on the contract.

    e. Ensure the DVBE substitution request process is followed when applicable per CCR section 1896.73.

    f. Post award audits.

2. Awarding agencies must investigate and report the following program violations to the DGS-OSDS. The DGS/OSDS may suspend the violator from doing business with the state and may forward the investigative report to the Attorney General for possible action. It is unlawful for a person or firm to:

    a. Knowingly and with intent to defraud, fraudulently obtain or retain certification as a DVBE.

    b. Willfully and knowingly make a false statement with the intent to defraud, to influence certification of any entity as a DVBE.

c. Willfully and knowingly obstruct an investigation regarding DVBE certification.

d. Knowingly and with intent to defraud, obtaining or attempting to obtain public moneys to which the person is not entitled under the DVBE Participation Program.

e. Knowingly and with intent to defraud, fraudulently represent DVBE participation in order to obtain or retain a bid preference or State contract.

f. Knowingly and with intent to defraud, represents that a Commercially Useful Function is being performed by a DVBE in order to obtain or retain a bid preference. (Mil. & Vets. Code § 999.9(a)(6).)

g. Willfully and knowingly make a statement, declaration or other document, which is false as to any material matter.

h. Willfully and knowingly aid or assist in the preparation or presentation of a false document.

i. Willfully and knowingly fail to file any declaration or notice required by Mil. & Vet. Code § 999.2.

j. Establish or cooperate in the establishment of, or exercise control over, a firm found to have violated the above.

3. Violators are guilty of a misdemeanor and may also be liable for a civil penalty, including attorney's fees and costs incurred by the awarding agency or DGS. Additionally, violators shall be suspended from bidding on, or participating as a contractor, subcontractor, or supplier in any State contract or project. And furthermore, the awarding agency at its discretion may terminate existing contracts with the violator.

4. Prior to reporting an alleged violation of Military & Veterans Code section 999 or PCC § 10115.10 to the DGS/OSDS awarding agencies must investigate the alleged violation and must prepare a written report of their findings. The written report must also include a recommendation for action to be taken commensurate with the awarding agency's findings and must be submitted to the DGS/OSDS within 60 days of notification to the awarding agency of the alleged violation.

5. For contracts with DVBE goals, agencies should include language such as the following to assist in verifying compliance:

   "Contractor agrees to certify on Prime Contractor's Certification DVBE Subcontractor Report (Form STD 817) that DVBE subcontractor participation under this agreement is in compliance with the goals specified at the time of award of contract or with any subsequent amendment. If for this Contract the Contractor made a commitment to achieve the DVBE participation goal, the Department will withhold $10,000 from the final payment, or the full final payment if less than $10,000, until the Contractor complies with the certification requirements of Military and Veterans Code Section 999.5. A Contractor that fails to comply with the certification requirement shall, after notice, be allowed to cure the defect. Notwithstanding any other law, if, after at least 15 calendar days but not more than 30 calendar days from the date of notice, the prime contractor refuses to comply with the certification requirements, the department shall permanently deduct $10,000 from the final payment, or the full payment if less than $10,000. The Contractor shall provide proof of payment for the work performed by the DVBE subcontractor(s) upon Department's request."

B. Substitution of DVBE Subcontractors (Mil. & Vet's § 999.5(e))

1. After award of a contract, the successful bidder/contractor must use the DVBE subcontractors and/or suppliers proposed in the bid or proposal to the State unless a substitution is requested and approved. The bidder/contractor must request the substitution in writing to the awarding agency and both the awarding agency and DGS/OSDS must approve the substitution in writing prior to commencement of any work by the proposed subcontractor/supplier. The substitution request must comply with applicable regulations (see Tit. 2 § 1896.73(b)), including:

    a. A written explanation of the reason for the substitution.

    b. The name and certification number of the business being substituted and name and certification number of the proposed replacement.

    c. A copy of the written notice issued to the DVBE with proof of delivery.

    d. A copy of the DVBE's consent or opposition to the substitution, and any hearing decision if applicable.

    e. A written notice detailing a clearly defined portion of the work identified both as a task and as a percentage share/dollar amount of the overall contract that the substitution business will perform.

    f. Completed substitution request form and supporting documentation will be submitted by the awarding department's Disabled Veteran Business Enterprise Advocate to DGS/OSDS for approval.

2. The California Code of Regulations (CCR), Title 2, section 1896.73 and Public Contract Code section 4107 (for public works) provide the current requirements for awarding departments to approve the substitution of a DVBE subcontractor. Departments shall follow the processes set forth in 2 CCR § 1896.73 and PCC § 4107 (for public works) when a prime contractor requests the substitution of a DVBE subcontractor with the added provisions that:

a. Only another DVBE subcontractor shall be considered to replace a DVBE subcontractor; and

b. The awarding department shall obtain final approval to replace a DVBE subcontractor from DGS/OSDS.

3. The request for substitution of DVBE and the awarding agency's approval or disapproval cannot be used as an excuse for noncompliance with any other provision of law, including, but not limited to, the Subletting and Subcontracting Fair Practices Act (PCC §§ 4100, et seq.) or any other contract requirements relating to substitution of subcontractors.

4. Prior to the approval of the prime contractor's request for substitution, the awarding agency, or its duly authorized officer, must give notice in writing to the listed subcontractor of the prime contractor's request to substitute and the reasons for the request. The notice shall be served by certified or registered mail to the last known address of the subcontractor.

5. The listed subcontractor who has been so notified will have five (5) working days within which to submit written objections to the substitution of the awarding authority. Failure to file these written objections will constitute the listed subcontractor's consent to the substitution.

6. If written objections are filed, the awarding authority shall give at least five (5) working days' notice in writing to the listed subcontractor of a hearing by the awarding agency on the prime contractor's request for substitution.

C. Contract Completion Report – Prime Contractor's Certification of Payments to DVBE Subcontractor(s)

1. Upon completion of an awarded contract for which a commitment to achieve DVBE participation was made, an awarding department shall require the prime contractor that entered into a subcontract with a DVBE to certify to the awarding department on the Prime Contractor's Certification DVBE Subcontractor Report Form STD 817 all of the following:

a. The total amount the prime contract received under the contract;

b. The name and address of the DVBE that participated in the performance of the contract and contract number;

c. The amount and percentage of work the prime contractor committed to provide to one or more DVBEs under the requirements of the contract and the amount each DVBE received from the prime contractor;

d. That all payments under the contract have been made to the DVBE. (See Mil. & Vets Code §999.5(d).) Upon request by the awarding department, the prime contractor shall provide proof of payment for the work.

2. A person or entity that knowingly provides false information shall be subject to a civil penalty for each violation in the minimum amount of $2,500 and the maximum amount of $25,000. An action for a civil penalty may be brought by any public prosecutor in the name of the people of the State of California and the penalty imposed shall be enforceable as a civil judgment. (Mil. & Vets § 999.5(e).)

3. The awarding department shall keep the certification on file. (Mil. & Vets § 999.5(e).) The awarding department shall maintain all records of information provided by the prime contractor pursuant to Section 999.5 and shall establish appropriate review procedures for those records to ensure the accuracy and completeness of the award amounts and paid amounts reported. The records shall be maintained in a manner that facilitates access and review by external auditors. Records collected shall be retained for a minimum of six years after collection.

4. The awarding department shall withhold $10,000 from the final payment, or the full final payment if less than $10,000, until the prime contractor complies with the certification requirements above. A prime contractor that fails to comply with the certification requirement shall, after notice, be allowed to cure the defect. Notwithstanding any other law, if, after at least 15 calendar days but not more than 30 calendar days from the date of notice, the prime contractor refuses to comply with the certification requirements, the awarding department shall permanently deduct $10,000 from the final payment, or the full payment if less than $10,000. Notwithstanding any other law, an awarding department shall not withhold more than the amount specified on the final payment of any DVBE for the purposes of ensuring compliance with the certification requirements of MVC 999.5.

D. Audit

The DVBE regulations require inclusion of an audit clause in the contracts sufficient to permit audit for compliance with DVBE requirements. The audit clause contained in SCM 1, section 7.50 meets this requirement.

8.17 DVBE INCENTIVE PROGRAM
(Rev 04/22)

A. All competitive solicitations must contain a DVBE incentive if the solicitation includes the DVBE program requirement, unless an exemption for the incentive is approved. Competitive solicitations exempted from the DVBE program requirement may include the DVBE incentive.

B. The DVBE incentive is an incentive between 1% and 5%.

1. The incentive is applied during the evaluation process for responsive bids from responsible bidders proposing the percentage(s) of DVBE participation for the incentive(s) specified in the solicitation.
2. The solicitation document may provide an incentive scale providing a range of incentive(s) (1% to 5%) for bidders offering a specified participation level(s).
3. A department’s highest ranking executive officer or his/her designee may exempt a solicitation from the incentive using the DVBE Exemption Request Form STD 816 with a full and complete written justification as long as such exemption does not prevent achievement of a department’s DVBE participation goal. A copy of the written exemption should be included with the contract documents when submitted for approval by DGS/OLS.
4. Departments must use the STD 816 unless they obtain approval form DGS/OSDS to use an alternative form. A request for exemption must explain the necessity for use of an alternative form and demonstrate the alternative form meets all STD 816 requirements and complies with DVBE regulations.

C. Low price awards:

1. The minimum incentive is 1% with or without a cap.
2. Use of a higher incentive percentage not to exceed 5% is allowed for a solicitation based upon the agency’s need to meet its DVBE program goal.
3. The incentive is applied by reducing the bid price by the amount of incentive as computed from the lowest responsive bid price submitted by a responsible bidder.
4. This incentive is for evaluation purposes only.
5. Application of the incentive shall not displace an award to a small business with a non-small business.
6. A department’s highest ranking executive officer or his/her designee may place a cap on identified solicitations of not less than $100,000 for the incentive and/or $100,000 for all combined incentives and preferences. Reference to the cap must be included in the solicitation document and documentation of the executive officer/designee’s written approval of the

cap should be included with the contract documents when submitted for approval by DGS/OLS.

D. High score awards:

1. The incentive shall be between 1% and 5% of the total possible available points, not including points for socioeconomic incentives or preferences.

2. The incentive points are included in the sum of non-cost points.

3. The incentive points cannot be used to achieve any applicable minimum point requirements.

E. DGS regulations are located at 2 CCR §1896.99.100 et seq.

8.18 ANNUAL REPORT OF DVBE PARTICIPATION (Rev 04/22)

A. Due Date and General Content

Public Contract Code section 10111 requires that DGS publish an annual statewide contracting activity report that consolidates information for various categories, including DVBE usage. To assist in this effort, all agencies must provide their Consolidated Annual Report for State Contracting report (Forms DGS PD 810) to the DGS/OSDS Reports Coordinator no later than close of business on August 1 of each year. Additional information regarding annual reporting can be found on the DGSPD website (https://www.dgs.ca.gov/PD/services).

8.20 CERTIFIED SMALL AND MICROBUSINESS PROGRAM (Rev 06/24)

A. Definition

Small business means a business certified by DGS/OSDS in accordance with GC § 14837 (d)(1) and 2 CCR 1896.12(a).

B. Small business for the purpose of public works means a business that met the qualifying criteria for small business pursuant to 2 CCR section 1896.12(a)(1)-(4) and, in addition, is a business that together with affiliates does not exceed 200 employees and an average gross receipts of $36 million. (GC § 14837(d)(1)(B); 2 CCR 1896.13.)

C. Microbusiness means a small business certified by DGS/OSDS in accordance with GC § 14837 (d)(2) and 2 CCR 1896.12(b).

D. A certified small business, a small business for the purpose of public works, or microbusiness shall provide goods or services that contribute to the fulfillment of the contract requirements by performing a “Commercially Useful Function.”

Commercially Useful Function is defined as: 1) Is responsible for the execution of a distinct element of the work of the contract (including the supplying of service and goods); 2) Carries out its obligation by actually performing, managing or supervising the work involved; 3) Performs work that is normal for its business services and functions; 4) Is responsible, with respect to products, inventories, materials and supplies required for the contract, for negotiating price, determining quality and quantity, ordering, installing, if applicable, and making payment; and 5) Is not further subcontracting a portion of the work that is greater than that expected to be subcontracted by normal industry practices.

A small or microbusiness contractor, subcontractor or supplier is not performing a "Commercially Useful Function" if its role is limited to that of an extra participant in a transaction, contract or project through which funds are passed in order to obtain the appearance of small business or microbusiness participation. (GC § 14837(d)(4); Tit. 2 CCR § 1896.15.)

E. Eligibility

A business must be formally certified by DGS/OSDS to be considered for the small business, a small business for the purpose of public works, or microbusiness preference.

F. Benefits of Certification

A certified small business or microbusiness is entitled to claim a 5% preference in bidding on State contracts as explained in SCM 1, section 8.21. Small business for the purpose of public works can claim a 5% preference only when bidding on State public works contracts. Certified small business, small business for the purpose of public works, or microbusinesses are also entitled to interest penalties paid by the State for late payment of invoices. The penalties are greater for certified small business or microbusinesses than for non-certified businesses.

G. Nonprofit Veteran Service Agency Certification

Nonprofit Veteran Service Agencies (NVSA) can qualify for a small business preference if DGS/OSDS certifies that the NVSA meets the requirements of Mil. & Vet. Code § 999.50, et seq. Upon certification, an NVSA participating as a prime bidder is eligible for the 5% small business bidding preference if they have submitted a timely, responsive bid and have been determined to be a responsible bidder. An NVSA is not subject to the same standards as other certified small businesses. NVSA standards are identified in Mil. & Vet. Code § 999.51(a)(3).

H. Pursuant to Government Code section 14838, State agencies must establish a minimum goal of 25 percent participation for small businesses, including microbusinesses, in the provision of goods, IT, and services to the state, and in the construction of state facilities, based on total awarded contracts.

To help meet this goal, agencies may set contract-specific small business participation requirements. (See Tit. 2 CCR § 1896.5.) See also GC 14838.1 (SB goals in contracts financed with proceeds from the Infrastructure Investment and Jobs Act (Public Law 117-58).)

I. Each State agency, with an annual contracting program of $100,000 or more, must appoint a State Contracting Small Business Advocate to act as a liaison for small business (GC §14846).

J. Upon completion of a contract for which a commitment to achieve SB or DVBE participation was made, the contractor shall report to the awarding department the actual percentage of SB and DVBE participation that was achieved. (GC § 14841; GTCs.)

8.21 SMALL BUSINESS PREFERENCE PROGRAM
(Rev 04/22)

A. How the Preference Works (see 2 CCR §1896.8)

1. Certified small businesses or microbusinesses can claim the 5% preference when submitting a bid on a State contract. A non-small business may receive a preference of 5% if the business commits to subcontract at least 25% of its net bid price with one or more small businesses or microbusinesses. The 5% preference is used only for computation purposes, to determine the winning bidder and does not alter the amounts of the resulting contract. The value of the preference is limited to $50,000 when a contract award is based upon award to the lowest compliant bid. A contract awarded on the basis of the 5% preference is awarded to the small business, microbusiness or non-small business for the actual amount of its bid.

2. An example of the method used in determining the successful bidder for an IFB, or the cost component of an RFP Primary follows:

Bidder	Bid Amount	Bid after preference	
One	$30,750	$30,750	Claims small business or microbusiness status but is not a certified small business or microbusiness; does not claim small business subcontractor participation
Two	$28,975	$28,975	Does not claim to be a small business or microbusiness, and does not claim subcontractor participation
Three	$29,520	$28,071.25	Claims non-small business subcontractor preference and does commit to 25% certified small business or microbusiness participation

Four	$29,870	$28,421.25	Claims small business or microbusiness status and is a certified small business or micro-business

For evaluation purposes, 5% of the low responsible bid of $28,975 would be $1,448.75 ($28,975 x .05); that amount would be subtracted from the bids of Three (for a bid after preference total of $28,071.25) and Four (for a bid after preference total of $28,421.25). The contract would be awarded to bidder Four for $29,870, as the non-small business subcontractor preference cannot remove an award from a certified small business or microbusiness.

3. The method used in determining the successful bidder for an RFP Secondary follows:

   a. Calculate the “earned” score for all bidders.

   b. If the highest scored proposal is from a non-certified small business or microbusiness, then:

      i. Calculate 5% of the highest responsible bidder’s total score.

      ii. Add the amount calculated above to the score of each of the certified small business or microbusinesses. This new amount is the total score.

      iii. Award of the contract must go to the bidder with the highest point count.

4. An example of applying the small business preference to an RFP Secondary follows:

Bidders (*Indicates certified small business)	A*	B	C*	D
Criterion 1(15 Max. points)	11	14	13	12
Criterion 2 (25 Max. points)	21	21	14	19
Criterion 3 (30 Max. points)	18	15	15	18
Cost (30 Max. points)	29.1	30.0	28.3	29.7
(cost points awarded are based on these bid amounts)	($103)	($100)	($106)	($101)
Total “earned” points for each bidder	79.1	80.0	70.3	78.7

Bidder B’s was the highest scored proposal, a non-certified small business or microbusiness. Therefore points must be re-apportioned after application of the 5% calculation of B's point score. B's bid received 80.0 points. 5% of 80 is 4. All bids from certified small business or microbusinesses will receive 4 additional points. All bids from eligible non-small businesses will receive 4 additional points.

Point awards prior to preference points	79.1	80.0	70.3	78.7
Preference points	4.0		4.0	
Total final points for each bidder	83.1	80.0	74.3	78.7

The highest scored proposal is now the proposal received from A, a certified small business. The contract award amount will be A's original bid amount.

B. Small Business Preference Procedures

1. Notice of availability of the Small Business Preference Program must be included in all IFBs and RFPs. Agency staff should be familiar with the

   program in order to clearly explain it to bidders. Firms needing more information should be referred to the DGS/OSDS website.

2. Bidders claiming the small business preference may be requested, but not required, to submit a copy of their certification approval from DGS/OSDS with the bid or proposal. Failure to provide a copy of their certification approval in their response is not a material deviation. A bidder may claim the preference if the bidder submits a complete application for certification to the DGS/OSDS by 5:00 p.m. PST on the bid due date; online applications may be submitted up until 11:59pm (PST) on the bid due date. Therefore, the awarding agency should check the status of the application with DGS/OSDS before awarding the contract. An awarding agency shall evaluate the activities to be performed by any certified small or microbusiness on the proposed contract to assure that the certified small or microbusiness is performing a "commercially useful function" as defined in SCM 1, section 8.20 C.

C. Procedures for Tie Bids Between a Small Business and DVBE Small Business

In the event of a precise tie between the low responsible bid of a certified small business and the low responsible bid of a certified disabled veteran owned business that is also a small business, the contract must be awarded to the disabled veteran owned small business. (GC § 14838 (f); 2 CCR 1896.8(f)).

8.22 NON-SMALL BUSINESS PREFERENCE PROGRAM (Rev 11/04)

GC § 14838(b)(1)(2) provides for a non-small business preference, as defined.

The preference to a non-small business bidder that commits to small business or microbusiness subcontractor participation of 25% of its bid price shall be 5% of either the lowest, responsive, responsible bidder's price (IFB) or the highest responsive, responsible bidder's total score (RFP secondary). A non-small business, which qualifies for this preference, may not take an award away from a certified small business. The small business regulations are located at 2 CCR 1896. (See example in 8.21.)

8.23 PROMPT PAYMENT OF SMALL BUSINESSES
(Rev 04/22)

A. Reason for the Program

To encourage expeditious invoice payment, the law provides for assessment of a penalty for late payments of invoices from contractors, including certified small businesses on all contracts and nonprofit organizations registered with DGS/OSDS (contracts less than $500,000) (GC § 927.6). As part of the implementation of this law, every solicitation should alert the bidder about this program

B. Description of the Program

The Prompt Payment Act (GC § 927, et seq.) applies to both small and non-small businesses. However, the penalty calculation differs for small businesses as follows. The penalty is calculated, for certified small businesses and non-profit organizations, at a rate of 10 percent above the U.S. Prime Rate on June 30 of the prior fiscal year of the amount outstanding per calendar day from the required payment date.

Agencies must automatically calculate and pay the penalties, without requiring the contractor to submit an invoice for these penalty amounts (GC § 927.6).

> Note: The time starts to run when the invoice is first received by the agency, not when it is received by your business or accounting office.

C. Involvement of DGS Office of Small Business and DVBE Services (DGS/OSDS) DGS/OSDS serves as a resource for State agencies and businesses in the implementation of the prompt payment program. State agencies must be sure that a small business is certified before paying the higher interest penalty and that may require contacting DGS/OSDS. The DGS/OSDS does not investigate, arbitrate, or advocate for business firms or State agencies in the resolution of payment disputes.

DGS/OSDS works with agency Small Business Advocates to provide information about the Act and assistance to contractors who have difficulty resolving payment problems.

D. Contracting Consideration

The subject of prompt payment should be considered during the contracting process to ensure that the contract gives clear and accurate instructions directing where invoices are to be sent. Those employees who will be involved in the

CREDIT/DEBIT CARDS POLICIES AND PROCEDURES OVERVIEW

Policies and Procedures for Use Credit/Debit Cards

Providers are required to have written policies and procedures to establish an internal control structure for credit/debit card use. These policies and procedures **must** include the following guidelines:

1. A Provider's Board of Directors must first determine whether to approve use of credit or debit cards; once the Provider's Board has approved the use of credit/debit cards, the Board must adopt a comprehensive credit/debit card policy.

2. Credit cards must be established in the name of the Provider and used solely for carrying on the operations of the Provider.

3. Prohibitions on the use of cards to split orders or otherwise circumvent bidding thresholds.

4. Instructions on employee responsibility and written acknowledgements signed by all authorized users; specifying that the safeguard of, and charges appearing on each card, are the responsibility of the cardholder and prohibiting purchases that are personal in nature. Establish custody of the cards when not in use.

5. Procedures for card issuance and cancellation, lost or stolen cards, and employee termination.

6. Set spending and transaction limits for each cardholder both per transaction and monthly. Require preapproval for purchases over those limits.

7. Requires proper documentation for all transactions. Establishes a means to recoup any unauthorized expenditures.

8. Clear guidelines on the appropriate uses of credit cards, including approved and unapproved vendor categories.

9. Guidelines for making purchases by telephone, fax, or internet.

10. Record-keeping requirements, including review and approval processes.

11. Limits the use of staff and/or volunteer personal credit cards for Provider-related purchases to emergency situations (with emergencies to be defined) where standard procurement methods are unfeasible. Such expenditures, moreover, must be consistent with the Provider's purchasing policies and procedures.

12. Limits cash withdrawals/advances to emergency situations (with emergencies to be defined), and requires such withdrawals to be governed by the following rules:
    a. Amount may not exceed $200 per ATM withdrawal.
    b. The Provider's Executive Director or a designee must authorize cash withdrawals. If the Provider's Executive Director is the individual making such cash withdrawals, then the Provider's Executive Director must receive authorization from the Provider Board Chairperson.
    c. When a payment is made with cash from an ATM withdrawal, a receipt from the transaction is filed and maintained in an ATM transaction and cash box (this must be a box kept separate and apart from the petty cash box).
    d. Any cash withdrawn from a credit/debit account that is not utilized in a purchase must be deposited in the ATM transaction and cash box or re-deposited in the agency credit/debit account.
    e. Each expense emanating from an ATM withdrawal must be properly recorded in the Provider's books of account.
    f. The Provider is not allowed to comingle DYCD funds from cash balances related to ATM withdrawals with Non-DYCD funding streams. Separate general ledger accounts must be established to account for DYCD cash balances related to ATM withdrawals.

13. Procedures for transferring paper records to electronic record storage, if applicable.

14. Segregation of duties for payment, accounting, and reconciliation. Periodic audits for card activity and retention of sales receipts and documentation of purchases.

15. The CFO or Comptroller must ensure that a proper review of claims is performed prior to the payment of each credit card statement. This includes requiring that itemized receipts or other similar documents signed by the individual making the purchase adequately support all charges on the statements. In the case of debit card usage, bank statements must be regularly and timely reviewed and checked against supporting documentation.

SECTION SIX: PETTY CASH POLICY

PETTY CASH FUND USE ESTABLISHMENT

Office of Neighborhood Safety (ONS) contracts are exempt from this Policy. Petty Cash policies applicable to Office of Neighborhood Safety (ONS) contracts are described in the next section below.

To facilitate the payment of certain minimal charges that cannot be handled by check, Providers may establish a Petty Cash Fund of up to **$1,500.** It is important to remember that items purchased with Petty Cash Funds are subject to the same regulations and accounting practices as expenses paid by check.

Petty Cash Fund Use

A Petty Cash Fund shall be governed by the following rules:

1. A Petty Cash Expense may not exceed **$250** dollars per total purchase.

2. The Provider's Executive Director or a designee must authorize petty cash expenses in writing.

3. When a cash payment is made from the Petty Cash Fund, a Petty Cash Voucher (see sample on the DYCD's website) together with receipt is placed in the petty cash box.

4. The total of cash remaining in the box plus the total amount of vouchers therein must equal the petty cash fund amount.

5. Each voucher must be supported with a receipt or invoice which shows:

   - The vendor name.
   - Date of purchase.
   - Item purchased.
   - Price per item.
   - Total price for the quantity received.
   - Who made the purchase.

   The custodian may require the purchaser to sign or initial original receipts. Upon receipt of completed information, the petty cash expenditures will be reimbursed by the fund custodian.

6. Each expense from the petty cash voucher must be journalized in the Provider's general ledger to the appropriate expense account with an offsetting entry to the petty cash account.

7. Periodically, when the amount of cash remaining in the box requires replenishment, a check is drawn for the amount of all vouchers in the box. Cash from the check is placed in the petty cash box to replenish the Petty Cash Fund to its full amount. The reimbursement check amount is to be credited to the applicable operating cash account with an offsetting debit to the petty cash general ledger account. A separate Petty Cash Voucher Form must be used for the replenishment of the Petty Cash Fund.

8. A monthly reconciliation of Petty Cash funds with the petty cash general ledger account must be carried out.

Publication of orders and their date of operation.

10. (*1*) The Commission shall cause each of its orders made under section 8 or section 9 to be published in the Gazette of India and in the Official Gazettes of the States concerned and simultaneously cause such orders to be published at least in two vernacular newspapers and publicise on radio, television and other possible media available to the public and after such publication in the Official Gazettes of the States concerned, every District Election Officer shall cause to be affixed, the Gazette version of such orders relating to the area under his jurisdiction, on a conspicuous part of his office for public notice.

(*2*) Upon publication in the Gazette of India, every such order shall have the force of law and shall not be called in question in any court.

(*3*) As soon as may be after such publication, every such order shall be laid before the House of the People and the Legislative Assemblies of the States concerned.

(*4*) Subject to the provisions of sub-section (*5*), the readjustment of representation of the several territorial constituencies in the House of the People or in the Legislative Assembly of a State and the delimitation of those constituencies provided for in any such order shall apply in relation to every election to the House or to the Assembly, as the case may be, held after the publication in the Gazette of India of that order and shall so apply in supersession of the provisions relating to such representation and delimitation contained in any other law for the time being in force or any order or notification issued under such law in so far as such representation and delimitation are inconsistent with the provisions of this Act.

(*5*) Nothing in this section shall affect the representation in the House of the People or in the Legislative Assembly of a State until the dissolution of the House or of the Assembly, as the case may be, existing on the date of publication in the Gazette of India of the final order or orders of the Commission relating to the delimitation of Parliamentary constituencies or, as the case may be, of the Assembly constituencies of that State and any bye-election to fill any vacancy in such House or in any such Assembly shall be held on the basis of the provisions of the laws and orders superseded by sub-section (*4*) as if the said provisions had not been superseded.

(*6*) The Commission shall endeavour to complete and publish each of its orders referred to in sub-section (*1*) in the manner provided in that sub-section, within the term specified in the notification issued under sub-section (*3*) of section 3.

Power to maintain delimitation orders up-to-date.

11. (*1*) The Election Commission may, from time to time, by notification in the Gazette of India and in the Official Gazette of the State concerned,—

(*a*) correct any printing mistake in any of the orders made by the Commission under section 9 or any error arising therein from an inadvertent slip or omission; and

(*b*) where the boundaries or name of any district or any territorial division mentioned in any of the said orders are or is altered, make such amendments as appear to it to be necessary or expedient for bringing the orders up-to-date, so, however, that the boundaries or areas or extent of any constituency shall not be changed by any such notification.

(*2*) Every notification under this section shall be laid, as soon as may be after it is issued, before the House of the People and the Legislative Assembly of the State concerned.

Hot applied, modified binder materials are applied at 79 grams (.42 gal/sy) to standard size, clean and dry, stainless-steel plates. Exactly one hundred (100) washed and graded aggregate particles are embedded into the required binder type. The sample is allowed to cure under specified conditions. Following this cure, the individual plates are conditioned at three different temperatures for 30 minutes. Then a 500-gram steel ball is dropped three (3) times from a distance of 50 cm (20 inches) onto the inverted stainless steel plates. The results are recorded at percent aggregate retention with 90% retention being the minimum allowable value.

<u>Steps for Modified Test Method</u>

A. Hot asphalt cement/modified binder is pre-heated to approximate application temperature (330° F (165° C) to 375° F (190° C)).

2a) Tare weight of plate is recorded.

2b) Individual plates are pre-heated in an oven to a minimum of 330° F (165° C).

2c) 79 grams of asphalt cement/modified binder applied to each plate.

2d) Plates are returned to the 330° F (165° C) minimum temperature oven for 15 minutes.

2e) Plates are removed from the oven and placed on a warm hotplate and the binder is spread and smoothed with a hot blade.

2f) Application weight is verified and adjusted as needed.

2g) 100 particles of washed and graded aggregate, meeting the project specification requirements, are applied in a 10 x 10 matrix, with the plate still on the warm hotplate.

2h) Three (3) plates are prepared for each combination of binder and aggregate.

B. Plates are again returned to the 330° F (165° C) minimum temperature oven for 15 minutes.

4a) Plates are removed from the oven and allowed to cool at room temperature for four to six hours.

4b) Once the room temperature cure is complete, individual plates are conditioned for 30 minutes at each of the following temperatures: 41° F (5° C), 14° F (-10° C) and -8° F (-22° C).

E. After the 500-gram steel ball has been dropped three times on each of the three samples, report the number of stones attached as percent aggregate retention at test temperature.

<u>Purpose of Vialit Aggregate Retention Test</u>

It should be the contractor/agencies responsibility as partners to construct a quality pavement preservation chip seal project. There needs to be insurance that good adhesion occurs between binder and aggregate, at the time of placement. The Vialit Retention Test provides a method to assess the active adhesivity of the binder and the aggregate being utilized in conditions, which simulate actual project variables and environment.

3. EQUIPMENT

C.

1. GENERAL

The equipment used by the contractor for pavement cleaning and excess aggregate removal shall include operational top dumping pick-up brooms.

C.

2. ASPHALT RUBBER EQUIPMENT

All equipment utilized in the production and application of AR binder material shall be described as follows:

a. A PG asphalt cement heating tank with a hot oil heat transfer system or a retort heating system capable of heating the PG asphalt cement to the proper temperature for blending with the CRM.

b. An Asphalt Rubber mechanical blender shall have a two-stage continuous mixing process capable of producing a homogenous blend of PG asphalt cement and CRM, at the mix design specified ratios, as directed by the engineer. The mechanical blender shall be equipped with a granulated rubber feed system capable of supplying the PG asphalt cement feed system, as not to interrupt the continuity of the blending process. The maximum capacity of the primary blending vessel shall be 500 gallons. Both the primary and secondary blenders shall be equipped with an agitation device orientated vertically in the blending vessel. The mechanical blender shall be capable of fully blending the individual modifier particles (CRM) with the PG asphalt cement. A separate PG asphalt cement feed pump and finished product pump are required. This unit shall have a PG asphalt cement totalizing meter in gallons and a flow rate meter in gallons per minute.

c. A distributor truck equipped with a heating unit, and an internal mixing device capable of maintaining a uniform mixture of PG asphalt cement and CRM. It shall be equipped with a full circulating spreader bar and pumping system capable of applying the Asphalt Rubber binder material within a 5% tolerance of the specified application rate, and must achieve a uniform covering of the surface to be treated. The distributor shall have a boot board on the rear of the vehicle and a bootman shall accompany the distributor. The bootman shall ride in a position so that all the spray bar tips are in full view and readily assessable for unplugging, if a plugged tip should occur. The distributor truck shall also require a thermometer and a computer rate control (CRC)

3. AGGREGATE COVER MATERIAL SPREADER

The cover material (chip) spreader shall be a self-propelled machine with an aggregate receiving hopper in the rear, belt conveyors to carry the pre-coated aggregate to the front, and a full width spreading hopper. The spreader shall be in good mechanical condition and shall be capable of applying the cover aggregate uniformly across the spread width and at the specified application rate, and heat-treated belts should be installed on the chip spreader.

4. ROLLING EQUIPMENT

Sufficient rollers shall be used to cover the width of the aggregate spread with one pass. The first pass shall be made immediately behind the aggregate spreader as the aggregate is being placed. Three (3) complete passes with the pneumatic tire rollers shall be made. The pneumatic-tired rollers shall carry a minimum loading of 3,000 pounds on each wheel and a minimum pressure of 90 pounds per square inch in each tire. Foam filled tires can be utilized.

3.5 HAULING EQUIPMENT

Trucks for hauling the pre-coated cover aggregate shall be tailgate discharge and shall be equipped with a device to lock onto the hitch of the cover material spreader. Haul trucks shall also be compatible with the cover aggregate spreader so that the dump bed will not push down on the spreader when fully raised, or have too short of a bed which results in aggregate spillage while dumping into the receiving hopper.

4. CONSTRUCTION METHODS

4.1 GENERAL

Immediately prior to the application of the Asphalt Rubber binder chip seal application, the surface shall be clean in order to insure adequate adhesion of the Asphalt Rubber to the existing pavement surface.

4.2 WEATHER CONDITIONS

Asphalt Rubber binder material shall be applied only when the existing surface is dry and the atmospheric temperature is at least 65° F and rising. No material shall be applied when predicted chance of rain is higher than 75 % or when the wind is in excess of 20 mph, as directed by the Engineer.

4.3 ASPHALT RUBBER BINDER - MIXING AND REACTION

Concerning the Asphalt Rubber binder, the percentage of Reclaimed Tire Rubber CRM shall be a minimum of 18 percent by weight of the total Asphalt Rubber mixture; the exact CRM content shall be determined by the binder design submitted by the Asphalt Rubber supplier. During Asphalt Rubber binder manufacture the CRM percentage shall not fluctuate by more than 1 (one) percent by weight of total Asphalt Rubber mixture, as determined by the original laboratory binder design.

The temperature of the PG asphalt cement shall be between 375° F and 450° F at the addition of the CRM. The PG asphalt cement, CRM shall be combined and mixed together in the Asphalt Rubber binder, and reacted in the distributor truck or a reaction vessel for a minimum period of 45 minutes from the time the CRM is blended with the PG asphalt cement. The temperature of the Asphalt Rubber binder shall be above 375° F during the reaction period, but shall not exceed 425° F at any time.

When a job delay occurs after full reaction, the Asphalt Rubber binder may be allowed to cool. For application, the Asphalt Rubber binder shall be re-heated slowly just prior to application to a temperature between 375° F and 425° F. An additional quantity of PG asphalt cement and/or CRM may be added to only to Asphalt Rubber binder as required to produce a material with the appropriate viscosity

4.4 APPLICATION OF ASPHALT RUBBER BINDER

Placement of the Asphalt Rubber shall proceed only under the following conditions:

a. The atmospheric temperature shall be at least 65° F and rising.

b. The atmospheric temperature shall not exceed 105° F.

c. The pavement surface temperature shall be at least 65° F and rising.

d. The pavement surface is clean and dry.

e. The wind conditions do not exceed 20 mph.

f. All of the construction equipment such as the Asphalt-Rubber distributor, aggregate spreader, haul trucks loaded with cover material, rollers and brooms are in position and ready to commence placement operations.

g. Chance of rain does not exceed 75%.

Asphalt Rubber binder shall be applied to the roadway following the mixing, reacting and blending of Asphalt Rubber binder at a rate of 0.55 to 0.65 gallons per square yard.

Distributor bar height, tip size, distribution, speed and shielding materials shall be utilized to reduce the effects of excess wind upon the spray distribution (fan), of each binder. The Engineer shall delay or reschedule work when high gusting or dusty winds in excess of 20 mph prevent or adversely affect binder or aggregate application.

The application of Asphalt Rubber binder to areas not accessible with the distributor bar on the distributor truck shall be accomplished by using a squeegee or other means approved by the Engineer.

The contractor shall comply with all Federal, State and Local environmental laws, regulations and ordinances.

4.5 APPLICATION OF AGGREGATE COVER MATERIAL

The 3/8 inch cover material shall be applied immediately onto the Asphalt Rubber membrane at a rate of 28 to 32 pounds per square yard. The actual rate selected within this range will be determined in the field based on the appearance of the Asphalt Rubber chip seal after initial rolling.

At the time of application, the temperature of the aggregate shall range from 225° F to 325° F. If Recycled Asphalt Pavement (RAP) is used as aggregate, this does not apply.

4.6 ROLLING

Sufficient rollers shall be used for the initial rolling to cover the width of the aggregate spread with one pass. The first pass shall be made immediately behind the cover material spreader (chip-box) as the aggregate is being placed. If the spreading is stopped for an extended period, the cover material spreader (chip-box) shall be moved ahead or off the chip seal surface so that all cover material may be immediately rolled. Three complete passes shall be made with the pneumatic rollers. If a steel wheel roller is used, the pneumatic tire rollers shall be operated in front of the steel wheel roller.

4.7 SWEEPING

Sweeping shall be a multi-step operation following final rolling of the aggregate. Mechanical pickup brooms shall be used to remove loose material without dislodging the aggregate set in the Asphalt-

Rubber. The initial sweeping shall be performed within one-hour from the start of the Asphalt-Rubber Chip Seal placement.

The Asphalt-Rubber Chip Seal placement shall be maintained free of loose screenings for a minimum of two working days following placement. During this period, the surface shall be swept as necessary to remove any loose cover material as directed by the Engineer. Final sweeping shall be completed, and all loose aggregate shall be removed prior to acceptance. The sweeping operations shall be accomplished with the use of nylon gutter brooms. The number of sweepers shall be determined by the amount of production for the day. One operational sweeper shall be working for every 10,000 square yards of chip seal placed for the day. Therefore, if a contractor is intending to perform 30,000 square yards per day, a minimum of 3 operated sweepers shall be used throughout the construction process.

Immediately upon opening the street to traffic, the Contractor shall start removing loose aggregate from parkways, sidewalks, and intersecting streets. Both operations shall continue until all excess or loose aggregate is removed from the roadway surface and abutting adjacent areas.

4.8 TRAFFIC CONTROL

The speed of the hauling equipment shall not exceed 15 miles per hour when traveling over a membrane that has not had sufficient time to properly set. All barricades, signage and traffic control procedures for the traveling public shall follow current MUTCD (Manuel on Uniform Traffic Control devices) standards.

5. METHOD OF MEASUREMENT

Asphalt Rubber Binder

The Asphalt Rubber binder shall be measured by the square yard at the specified application rate for Asphalt Rubber binder and approved by the Engineer.

Cover Aggregate Material

The quantity of the cover aggregate material shall be measured by the square yard and approved by the Engineer.

6. BASIS OF PAYMENT

Payment shall be made at the contract unit price per square yard for Asphalt Rubber binder application and the cover aggregate material per square yard.

These prices shall be full compensation for furnishing all materials and for all preparation, hauling and application of the materials, including labor, equipment, tools and incidentals necessary to complete the item.

7. SLURRY SEAL CAPE

Before using this specification, the user must reduce the aggregate types listed under 5.02 (c) to only one. Type II may be used for parking lots, streets, and arterials. Type III is used for arterials and highways.

5.01 SCOPE

Slurry Seal shall consist of mixing asphalt emulsion, aggregate, and water and spreading the mixture on a surfacing or pavement where shown on the plans, as specified in these specifications and the special provisions, and as directed by the Engineer.

5.02 MATERIALS

The materials for slurry seal immediately prior to mixing shall conform to the following requirements:

5.02 (a) Asphalt Emulsion

Asphalt emulsion shall be a cationic quick-setting type conforming to the requirements for PMCQS-1H grade under Caltrans Standard Specifications 2010, Section 94, Table 4, requirements for "Quick Setting Asphalt Emulsion".

5.02 (b) Water

Water shall be potable, free of harmful salts and shall be of such quality that the asphalt will not separate from the emulsion before the slurry seal is in place in the work.

5.02 (c) Aggregate

Aggregate shall consist of sound, durable, crushed stone or crushed gravel and approved mineral filler. Recycled Asphalt Pavement (RAP) may be substituted for crushed stone or crushed gravel. The material shall be free from vegetable matter and other deleterious substances. Aggregates shall be 100% crushed with no rounded particles. The percentage composition by weight of the aggregate shall conform to one of the following gradings:

SIEVE SIZES	TYPE II	TYPE III
3/8"	100	100
No. 4	90-100	70-90
No. 8	65-90	45-70
No. 16	40-70	28-50
No. 30	25-50	19-34
No. 200	5-15	5-15
Theoretical asphalt content, % dry aggregate	7.5-13.5	6.5-12
Approx. application rate (pound per square yard)	12-18	15-25

The aggregate shall also conform to the following quality requirements:

TESTS	CALIF. TEST	ASTM TEST	REQUIREMENTS
Sand Equivalent	217	D2419	55 Min.

5.03 PROPORTIONING

Asphalt emulsion shall be added at a rate of from 12 to 18%. A job mix design shall be submitted by the Contractor for approval by the Engineer that conforms to the specification limits, and that is suitable for the traffic, climate conditions, curing conditions and final use.

The Slurry Seal mixture shall be proportioned by the operation of a single start/stop switch or lever which automatically sequences the introduction of aggregate, emulsified asphalt, admixtures, if used, and water to the pugmill.

Calibrated flowmeters shall be provided to measure both the addition of water and liquid admixtures to the pugmill. If necessary for workability, a retarding agent, that will not adversely affect the seal, may be used.

Water, and retarder if used, shall be added to ensure proper workability and (a) permit uncontrolled traffic on the slurry seal no more than three (3) hours after placement without the occurrence of bleeding, raveling, separation or other distress; and (b) prevent development of bleeding, raveling, separation or other distress within seven (7) days after placing the slurry seal.

Uniformity of distribution of asphalt will be determined by extraction tests in accordance with California Test 310. The average bitumen ratio (pounds of asphalt per 100 pounds of dry aggregates) shall not vary more than five (5) percent above or below the amount designated by the Engineer. This requirement shall apply to samples taken from any location or operation designated by the Engineer.

5.04 MIXING

The Slurry Seal shall be mixed in a self-propelled mixing machine equipped with a continuous flow pugmill capable of accurately delivering and automatically proportioning the aggregate, emulsified asphalt, water and admixtures to a double shafted, multiblade pugmill mixer capable of minimum speeds of 200 revolutions per minute.

A minimum of two mixing machines shall be maintained on each project of a 10 cubic yard or larger capacity. The slurry seal retention time in the pugmill shall be less than three seconds. The mixing machine shall have sufficient storage capacity of aggregate, emulsified asphalt, and water to maintain an adequate supply to the proportioning controls.

The mixing machine shall be equipped with hydraulic controls for proportioning the material by volume to the mix. Each material control device shall be calibrated, properly marked, preset and lockable at the direction of the Engineer. The mixing machine shall be equipped with a water pressure system and nozzle type spray bars to provide a water spray immediately ahead of the spreader box.

The mixing machine shall be equipped with an approved fines feeder that provides a uniform, positive, accurately metered, pre-determined amount of a mineral filler, if used, at the same time and location that the aggregate is fed.

5.05 SPREADING EQUIPMENT

The slurry mixture shall be uniformly spread by means of a controlled spreader box. The spreader box shall be capable of spreading a traffic lane width and shall have strips of flexible rubber belting or similar material on each side of the spreader box and in contact with the pavement to prevent loss of slurry from the box and the box shall have baffles, or other suitable means, to insure uniform application on super-elevated sections and shoulder slopes.

The rear flexible strike-off blade shall make close contact with the pavement and shall be capable of being adjusted to the various crown shapes so as to apply a uniform seal coat.

Slurry mixture, to be spread in areas inaccessible to the controlled spreader box, may be spread by other approved methods.

5.06 PLACING

The slurry seal shall not be placed if either the pavement or the air temperature is below 55°F and falling, but may be applied when both the air and pavement temperature is 50°F or above and rising. The mixture shall not be applied if high relative humidity prolongs the curing beyond a reasonable time.

Before placing the slurry seal, the pavement surface shall be cleaned by sweeping, flushing or other means necessary to remove all loose particles of paving, all dirt and all other extraneous material.

Prior to 48 hours before beginning slurry seal operations, the contractor shall notify all residents, businesses and agencies by an approved written notice detailing streets and limits of work to be done and the hours of work. The contractor shall also 48-hour post all streets that are to be worked upon with temporary "No Parking - Tow Away" signs at 100 foot intervals. These signs shall also state the day of the week and hours of no parking.

Immediately before commencing the slurry seal operations, all surface metal utility covers (including survey monuments) shall be protected by thoroughly covering the surface with an appropriate adhesive and oiled or plastic paper. No adhesive material shall be permitted to cover, seal or fill the joint between the frame and cover of the structure. Covers are to be uncovered and cleaned of slurry material by the end of the same workday.

Hand tools shall be available in order to remove spillage. Ridges or bumps in the finished surface will not be permitted. The mixture shall be uniform and homogeneous after spreading on the surface and shall not show separation of the emulsion and aggregate after setting.

Adequate means shall be provided to protect the slurry seal from damage from traffic until such time that the mixture has cured sufficiently so that the slurry seal will not adhere to and be picked up by the tires of the vehicles.

5.07 MEASUREMENT (BY SQUARE YARD)

Slurry seal will be measured and paid for by the square yard for the actual surface area covered.

5.08 PAYMENT (BY SQUARE YARD)

The contract price paid per square yard for slurry seal shall include full compensation for furnishing all labor, materials, tools, equipment and incidentals and for doing all the work involved in the furnishing and placing the slurry seal complete in place, including cleaning the surface and protecting the slurry seal until it has set, all as shown on the plans, as specified in these specifications and as directed by the Engineer.

(End of Section)

APPENDIX I

2025/2026 Road Maintenance Project
IN THE CITY OF AUBURN, CALIFORNIA
MAPS

Examples : (i) The proposed contract was synopsized on the SAM website on July 6, 2005 and only EFG Corporation expressed an interest in this requirement. No additional market research was conducted because it is not practicable, for the reasons discussed in paragraph 5 above, for any company other than EFG to provide the required supplies and services.

(ii) The proposed contract was synopsized on the SAM website on July 6, 2005. In addition to EFG Corporation, responses were received from BBCC Company and from AGW Ltd. Representatives of the Program Office and the contracting officer held discussions with BBCC and AGW. Subsequently, both companies, based on a better understanding of the Navy's requirements, indicated in writing they were no longer interested in pursuing a prime contract. No additional market research was conducted because it is not practicable, for the reasons discussed in paragraph 5 above, for any company other than EFG to provide the required supplies and services.

(iii) The proposed contract was synopsized on the SAM website on July 6, 2005 and no other potential sources expressed an interest in this requirement. In an effort to identify competitive interest, the Naval ABC Command, Industrial Sources Division, as part of their market research, provides more than 850 commercial entities, on an annual basis, a listing of items for which it is seeking competitive sources, as well as instructions for obtaining source approval information. Additionally, the availability of the listing is periodically publicized in SAM and feedback is requested regarding market capabilities.To date, no other companies have expressed interest in becoming qualified to compete for the items to be acquired under the proposed contract.

(iv) NAVCOM's ABC Division, the Navy's Center of Excellence for XYZ systems, maintains in-depth knowledge of XYZ technology developments and the XYZ industrial base. This includes insight into technologies that individual companies are focused on and their technical and production capabilities. ABC Division representatives maintain this knowledge through routine review of industry journals and attendance at industry symposia and conferences. They also periodically visit industry facilities for briefings on companies' IR&D efforts. Based on its knowledge and expertise, ABC Division has determined that no companies other than RST Corporation have the knowledge and technical capability required to provide the XYZ-24 systems. The lack of any responses to a synopsis of the planned contract published on the SAM website on June 5, 2005 validates ABC Division's determination.

(v) Members of activity's technical, logistics and contracting community outside the contiguous United States conduct market research on a continual basis. Annually they visit each site where system maintenance and component repairs are performed. During these visits, they meet with local contractors and on-site government representatives to review current capabilities and potential changes in system maintenance/repair requirements. Based on information gathered during their most recent visits, the activity outside the contiguous United States has determined that only the current contractors are capable of meeting the Navy's requirements.A synopsis of these planned contracts has not been published. In accordance with FAR 5.202(a)(12), a synopsis is not required when the contract action is by a Defense agency and the proposed contract action will be made and performed outside the United States and its outlying areas, and only local sources will be solicited.

7. Determination of Fair and Reasonable Cost. The Contracting Officer has determined the anticipated cost to the Government of the supplies/services covered by this J&A will be fair and reasonable.

____

____

[Once this determination is made, paragraph 7 need only contain the above statement. No additional information is required.]

8. Actions to Remove Barriers to Future Competition.

____

____

[If there is currently no reasonable likelihood of future competition, use the following or similar language:

For the reasons set forth in Paragraph 5, NAVSYSCOM has no plans at this time to compete future contracts for the types of supplies/services covered by this document. If another potential source emerges, NAVSYSCOM will assess whether competition for future requirements is feasible.]

[Where applicable to a follow-on non-competitive procurement, include the following language, along with a copy of the previous J&A in accordance with DFARS PGI 206.304(a)(S-70)):

"As this is a follow-on for supplies and services previously awarded on a non-competitive basis, in accordance with DFARS PGI 206.304(a)(S-70)(i), the prior J&A was provided to the approval authority for review. Approval of this J&A signifies the approval authority has made the determination required by DFARS PGI 206.304(a)(S-70)(ii)."]

[Discuss any actions the activity plans to take to change conditions that would preclude the use of full and open competition for acquiring the same or similar supplies or services in the future. In addition to acquiring a validated technical data package, such actions might include, for example, development of a performance specification, use of reverse engineering to develop a second source or, after justifying noncompetitive procurement of emergency supplies/services on the basis of unusual and compelling urgency, using competition to award contract vehicles for requirements at quantities greater than the emergent need, or for similar items if needed to meet future emergency situations.]

[If future competition is planned, provide the estimated date of the first competitive acquisition. If this is a one-time buy or a final buyout, so state.]

[If the Government anticipates acquiring a technical data package or developing a performance specification that will support competition, use the following or similar language:

The Government (or Program Office) expects to obtain a technical data package or develop a performance specification that will support competition for future acquisitions of the same or similar items.]

[New page]

J&A No. xxxxxxxx

CERTIFICATIONS AND APPROVAL

TECHNICAL/REQUIREMENTS CERTIFICATION

I certify that the facts and representations under my cognizance which are included in this Justification and its supporting acquisition planning documents, except as noted herein are complete and accurate to the best of my knowledge and belief.

Technical Cognizance:

____________________ _________________ __________ _________

Signature Name (Printed) Phone No. Date

Requirements Cognizance:

____________________ _________________ __________ _________

Signature Name (Printed) Phone No. Date

[Note that this page includes certification that the acquisition planning documents are complete and accurate. If a single individual has cognizance over both technical and requirements information included in the J&A, use of only one signature line is encouraged and "Technical Cognizance:" and Requirements Cognizance:" above the signature lines may also be deleted.]

LEGAL SUFFICIENCY REVIEW

I have determined this Justification is legally sufficient.

____________________ _________________ __________ _________

Signature Name (Printed) Phone No. Date

CONTRACTING OFFICER CERTIFICATION

I certify that this Justification is accurate and complete to the best of my knowledge and belief.

____________________ _________________ __________ _________

Signature Name (Printed) Phone No. Date

[Insert title of Approving Official. If Senior Procurement Executive of the Navy is the Approving Official, insert, “SENIOR PROCUREMENT EXECUTIVE”] APPROVAL

Upon the basis of the above justification, I hereby approve, as [insert title of the Approving Official], the solicitation of the proposed procurement(s) described herein using other than full and open competition, pursuant to the authority of 10 U.S.C. 2304(c)(x)(provide appropriate citation).

_____________________________ ______________

[Print Name of Approving Official] Date

Action memos are only required when requested. Format is provided below.

[LETTER HEAD]

ACTION MEMO

[Date]

FOR: ASSISTANT SECRETARY OF THE NAVY (RDA)

VIA: DEPUTY ASSISTANT SECRETARY OF THE NAVY (P)

FROM: (*Name, Title, Activity -- Named individual signs above typed info)*

*SUBJECT **: [ACTIVITY NAME]** JUSTIFICATION AND APPROVAL **[NUMBER]***

*FOR **[TOP-LEVEL DESCRIPTION OF SUPPLIES/SERVICES***

COVERED BY THE J&A]

Example: NAVAL SEA SYSTEMS COMMAND JUSTIFICATION AND APPROVAL

(J&A) 22567 FOR LEAD YARD SERVICES FOR VIRGINIA CLASS SUBMARINES

ASN(RDA) approval is required for the J&A **[or state CJ&A, if applicable]** at Tab A.

[Briefly describe what the J&A covers, in terms of the type of contract action(s) involved, the identity of the planned contractor[s], the supplies or services to be acquired including quantities by fiscal year for major items, the total estimated value of the contract, with funding summary, and identification of the planning document (e.g., the Streamlined Acquisition Plan (STRAP)/Strategy) that supports the procurement. If none, explain why not.]

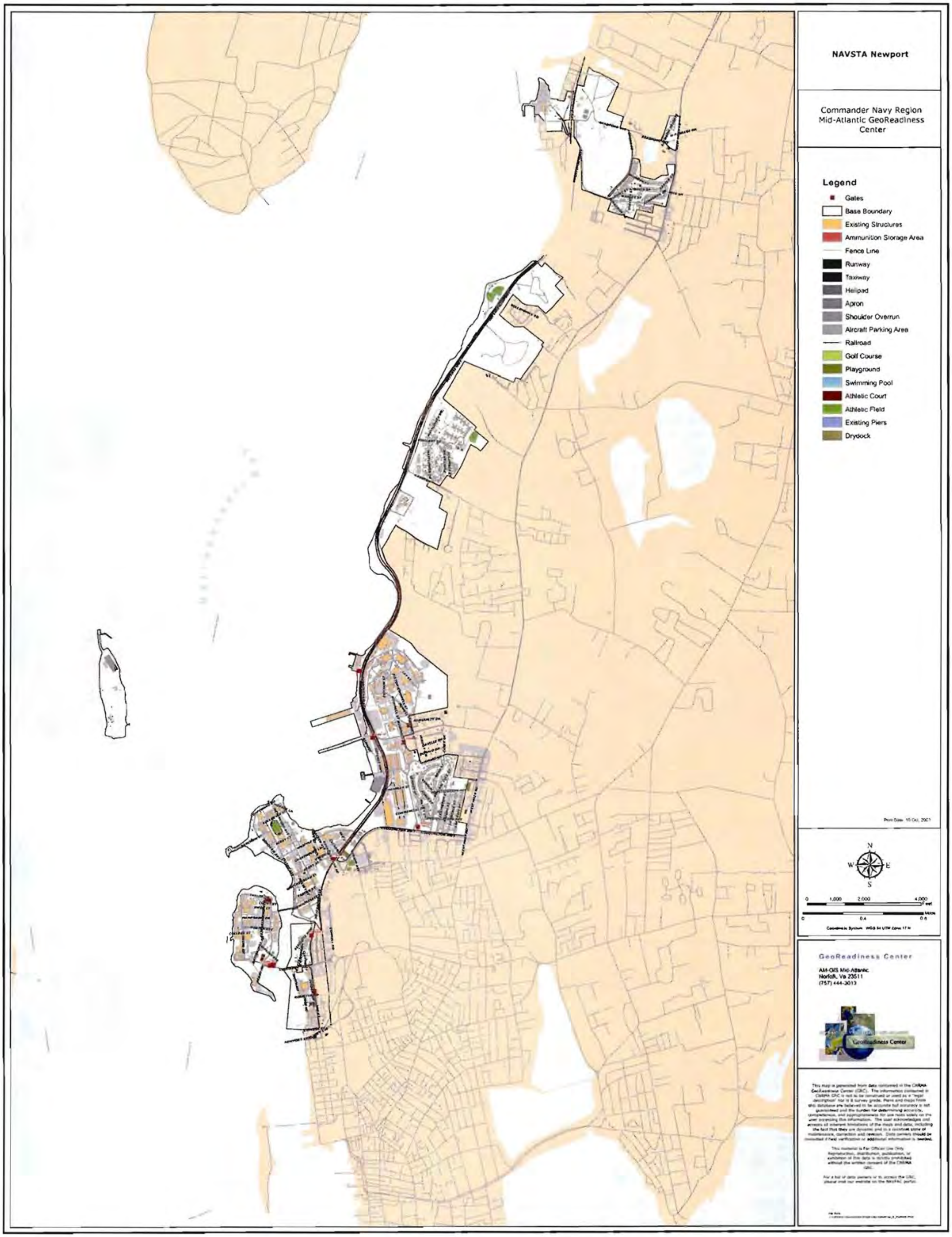
Example: This J&A covers award of a contract to ABC Aircraft Company, a fully owned subsidiary of DEF Company, for the SDD phase of the XYZ Program. This effort will include the design and development of an air vehicle, including two Ground Test Vehicles and five Engineering Development models, testing, engineering studies and related supplies and services. The estimated total value of the contract is $X,XB and will be funded with FY06 through FY11 RDT&E funds. The planned contract is supported by NAVAIR Acquisition Strategy 050-03-01, approved by USD(AT&L) on SEP 5, 2005.

Example: This J&A covers award of a contract to LGI Corporation for performance-based logistics support of the EFG system. The contract will include a three-year base period and four one-year options. Total estimated value of the contract is $123M and will be funded with Navy Working Capital Funds (NWCF). The J&A is consistent with NAVICP STRAP Plan No. 12345, approved July 8, 2005 by PEO(ABC).

[In a few sentences, summarize the rationale set forth in Paragraph 5 of the J&A for using other than full and open competition. Address other information necessary to provide a context for the procurement and facilitate understanding of the proposed business approach. Additional information might explain, for example, that:

the planned contract is a final buyout of the requirement, the sole source was determined through a prior competitive down-selection, under a prior contract the program experienced significant cost savings when it broke out the requirements covered by the planned contract from a larger system integration contract,]

Example: PRP is the sole designer, developer and manufacturer of the XX-46 series radar system and is the only contractor with the requisite knowledge, experience and technical data that can meet the


NAVSTA Newport
Commander Navy Region Mid-Atlantic GeoReadiness Center
Legend
Gates
Base Boundary
Existing Structures
Ammunition Storage Area
Fence Line
Runway
Taxiway
Helipad
Apron
Shoulder Overrun
Aircraft Parking Area
Railroad
Golf Course
Playground
Swimming Pool
Athletic Court
Athletic Field
Existing Piers
Drydock
Print Date: 10 Oct, 2007
N
W
E
S
0 1,000 2,000 4,000 Feet
0 0.4 0.8 Miles
Coordinate System: WGS 84 UTM Zone 17 N
GeoReadiness Center
AM-GIS Mid-Atlantic
Norfolk, Va 23511
(757) 444-3013
GeoReadiness Center
This map is generated from data contained in the CNRMA GeoReadiness Center (GRC). The information contained in CNRMA GRC is not to be construed or used as a "legal description" nor is it survey grade. Plans and maps from this database are believed to be accurate but accuracy is not guaranteed and the burden for determining accuracy, completeness, and appropriateness for use rests solely on the user accessing this information. The user acknowledges and accepts all inherent limitations of the maps and data, including the fact that they are dynamic and in a constant state of maintenance, correction and revision. Data owners should be consulted if field verification or additional information is needed.
This material is For Official Use Only. Reproduction, distribution, publication, or exhibition of this data is strictly prohibited without the written consent of the CNRMA GRC.
For a list of data owners or to access the GRC, please visit our website on the NAVFAC portal.

****

NUWCDIVNPT VISITOR REQUEST INFORMATION NEEDED:

<u>Information must be on Company Letterhead**</u>**

1) **Company/Organization Name, Address, Telephone, and FAX Number**
2) **Cage Code**
3) **Visitor(s) Full Name (As it appears on government issued ID – i.e. Driver's License)**
4) **Visitor(s) Full Social Security Number**
5) **Visitor(s) Date of Birth**
6) **Visitor(s) Place of Birth (City & State)**
   a. If born outside the U.S, you MUST provide a Naturalization Number or US Passport
7) **Visitor(s) Citizenship**
8) **Level of Clearance:** UNCLASSIFIED or as appropriate
   a. SCI Level Access MUST be coordinated SSO to SSO
9) **Do they possess a CAC, Teslin or DBIDs Card? (Yes or No)**
   a. Please specify which visitor(s) have CAC, Retired Military/Dependent ID, DBIDS, or NOT APPLICABLE
10) **NUWCDIVNPT Point of Contact (Sponsor)**
    a. MUST be a NUWC Government Employee
11) **Specific Date(s) of Visit, to include Year**
12) **Purpose of Visit**
13) **Contract Number, if applicable**
    a. If NO Contract Number is provided, then the visit will be for 30 days at the UNCLASSIFIED Level
14) **Authorized Signature:**
    a. Name, Title, Signature, and Date of Requesting Company/Organization Authorizing Official (MUST be aUS Citizen)
    b. Smaller companies that do not have a Security Officer to sign may use another Official or Secretary.
    c. Individuals <u>MUST NOT</u> Sign their own request

****
****

Submit Visitor Request(s) and/or SECNAV form(s) 5512/1 via:

- **<u>JPAS SMO CODE</u>:** 666045 (If no access to JPAS, use methods below)
- **<u>EMAIL FORM TO</u>:** nuwc_npt_access_control@navy.mil
- **<u>FAX FORM TO</u>:** (401) 832-4396

ALL INCOMPLETE VISIT REQUESTS WILL BE DENIED

Please call NUWC visitor control at (401) 832-2152 if you want to verify any visits or status on vetting.

SECTION TEN: CENTRAL INSURANCE PROGRAM

CENTRAL INSURANCE PROGRAM (CIP) FOR PARTICIPATING PROVIDERS

The Central Insurance Program (CIP) serves the insurance needs of not-for-profit contractors who do business with human services agencies in the City.

CIP provides comprehensive General Liability Insurance, Workers' compensation, Disability Insurance and Paid Family Leave Coverage benefits to Providers that opt to buy in. The Central Insurance Program is operated by the Mayor’s Office. Note: if a Provider chooses to participate in CIP and has Worker’s Compensation and Disability, the Provider must submit those certificates to DYCD and CIP will only provide General Liability coverage.

DYCD will deduct 4.5% of a contract’s total budget to cover the cost of the insurance. This 4.5% is non-reimbursable. This cost must be reflected in the Unallocated Funds category.

General Liability Insurance

General Liability Insurance is automatically assigned to Providers that opt to participate in the CIP.

The General Liability policy provides coverage limited to one million dollars ($1,000,000) per occurrence for incidents that occur in connection with program activities described in the Provider’s contract with DYCD. The General Liability policy also provides coverage for the costs of defending claims or suits resulting from bodily injury.

The policy also provides coverage for verifiable medical expenditures for authorized participants injured in the program. All injuries, however slight, to any program participant, volunteer, visitor, or others must be reported on a DYCD Incident Report Form. The Incident Report Form must be on file with DYCD before submission of related medical bills.

Original medical and dental bills must be submitted with a second copy of the Incident Report Form.

Workers’ Compensation and Disability Insurance

Workers’ Compensation covers injuries suffered by employees while on the job. This coverage only pertains to employees listed on the DYCD budget.

Disability benefits to employees listed on the DYCD budget are provided in case of a non-work-related illness or injury causing disability.

The Provider must submit the Employer’s Report of Injury (C-2F Form) and/or the Form for Disability to the CIP Program.

Staff Changes made in contracts with CIP

When new staff is hired, the Provider must submit an Individual Enrollment Form to CIP, Jaqueline Williams at Jwilliams@cityops.nyc.gov. When an employee is terminated or resigns, the Provider must submit a Termination Roster. The completion of this roster will ensure that the name(s) of former employees are removed from the Central Insurance Program. In both instances, the forms are to be returned to the Citywide Central Insurance Program at 253 Broadway, 10th Floor, New York, NY 10007.

Exclusions

CIP insurance does not include coverage for allegations of child or sexual abuse. The Provider must immediately notify DYCD of any incident or allegation of abuse of a program participant by any of the Contract's administrators or staff, including both paid staff and volunteers. Written notification is to be submitted on DYCD's Incident Report Form.

The term "abuse" refers to any physical, sexual, emotional, or verbal abuse, or any other maltreatment of a program participant. Compliance with this reporting requirement does not satisfy any other legally mandated reporting of abuse, such as notifying the law enforcement officials or notifying the NYS Central Register of Child Abuse and Maltreatment.

The CIP coverage terminates at the end of each fiscal year.

Forms and additional information related to CIP may be obtained from the Central Insurance Program.

Mayor's Office of Operations
Central Insurance Program
253 Broadway – 10th Floor
New York, New York 10007
Tel: (212) 788-3216

SECTION ELEVEN: REPORTING & AUDIT REQUIREMENTS

AUDIT

Office of Contract Agency Audits (OCA)

The **Office of Contract Agency Audits (OCA)** is responsible for conducting Audits and Fiscal Field Reviews (FFRs) of funded programs and evaluating audits and reviews of funded programs performed by DYCD's contracted independent Certified Public Accounting Firms (CPA Firms). OCA also issues Strategic Action Plans and Corrective Action Plans, often in conjunction with DYCD program staff, and provides technical assistance to Providers.

Audits and FFRs conducted by OCA and DYCD's contracted CPA Firms have several sources of criteria that are audited. This manual is one such source of audit/FFR criteria. A list of all audit criteria is available in **Section 11** of this manual.

Failure to adhere to the requirements included in this manual may result in disallowed costs, which would be recouped by DYCD, and may negatively impact a Provider's PASSPort rating.

Reporting and Audit Requirements

Sources of Audit and Fiscal Field Review Criteria

Audits and Fiscal Field Reviews (FFRs) conducted by OCA and DYCD's contracted CPA Firms have several sources of criteria that are audited. This manual is one such source of audit/FFR criteria.

Additional Audit/FFR criteria sources include:

- Provider's contracts with DYCD (including all Appendices).
- The City of New York Standard Audit Guide.
- The City of New York Health and Human Services Cost Policies and Procedure Manual.
- The Standards for Internal Control in the Federal Government, issued by the Comptroller General of the United States (also known as the Green Book).
- All applicable City, State, and Federal laws.
- For contracts that include Federal funding: 2 CFR Part 200 – Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Federal Uniform Guidance/OMB Super Circular).
- For contracts that include WIOA funding: New York State Department of Labor requirements also apply.

Failure to adhere to the requirements included in this manual and the other sources of audit criteria listed in the paragraphs above may result in disallowed costs, which would be recouped by DYCD, and may negatively impact a Provider's PASSPort rating.

DYCD funded Providers are subject to the following requirements:

Contracts with DYCD Funding Greater Than $75,000
Providers with aggregate DYCD funding greater than $75,000 will be audited by a CPA firm under contract to DYCD. The Auditor will perform random verification checks of the expenditures claimed o PASSPort. The audit is performed after the City fiscal year is completed and relates only to DYCD contracts. The Provider will be notified of the findings and questioned costs. Unresolved questioned cost(s) may have to be reimbursed to DYCD.

Contracts with DYCD Funding Between $25,000 and $75,000
Providers with aggregate DYCD funding between $25,000 and $75,000 are subject to fiscal field reviews ("FFR"). An FFR evaluates a Provider's system of internal accounting and administrative controls. The objective of the FFR is to ensure that Providers adhere to the procedures and requirements cited in this Fiscal Manual and Provider's DYCD contract. The FFR may result in both administrative and fiscal findings. FFRs are performed either by DYCD Audit staff or CPA firms under contract to DYCD.

Standard Audit Guide

Effective July 1, 2017 The City of New York Standard Audit Guide is the primary source for guidance on audit planning, execution, reporting and follow-up procedures for Auditors, Auditees, and Agencies. If there is a conflict between the terms of DYCD's Fiscal Manuals and the Standard Audit Guide, then the Standard Audit Guide shall take precedence.

The full policy can be found at the link below:

https://www1.nyc.gov/assets/nonprofits/downloads/pdf/Standard%20Audit%20Process%20Guide_2019.04.11.pdf

New York State Requirements

In accordance with New York State law, Providers may be required to register with the Charities Bureau of the New York State Attorney General's Office. In addition, providers that solicit funding from the public are required to file NYS Attorney General's Office financial forms that vary depending on the Provider's gross revenues.

The following chart summarizes the requirements of the Nonprofit Revitalization Act of 2013, as amended:

Effective Dates	Level of Gross Revenues	CPA Audit or CPA Review
July 1, 2017, through June 30, 2021	Less than $250,000	No CPA Audit or CPA Review required, but must file an unaudited financial report on form provided by the Attorney General.
	At least $250,000 but not more than $750,000	Prepare and file an annual GAAP-compliant financial report, accompanied by an annual financial statement that includes an independent CPA's review report.
	$750,000 or more	Prepare and file an annual GAAP-compliant financial report on forms prescribed by the Attorney General, accompanied by an annual financial statement that includes an independent CPA's review report containing a signed opinion that the financial statements are presented fairly in all material respects and in conformity with GAAP.
July 1, 2021, and forward	The $250,000 threshold remains constant	No CPA Audit or CPA Review required, but must file an unaudited financial report on form provided by the Attorney General.
	At least $250,000 but not more than $1,000,000	Prepare and file an annual GAAP-compliant financial report, accompanied by an annual financial statement that includes an independent CPA's review report.
	$1,000,000 or more	Prepare and file an annual GAAP-compliant financial report on forms prescribed by the Attorney General, accompanied by an annual financial statement that includes an independent CPA's review report containing a signed opinion that the financial statements are presented fairly in all material respects and in conformity with GAAP.

Regardless of the size or type of a not-for-profit Provider, an annual audit can help to improve operations and provide proper accountability for public and private resources.